ASIA MONTHLY

February 2026

Topics China's economic roadmap for 2026 ····· *1*
Topics Bangladesh's general election to affect the situation in South Asia ····· *4*

株式会社 日本総合研究所

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Topics China's economic roadmap for 2026

In 2026, China will take economic measures based on a policy of securing stable growth by stimulating domestic demand. But the policy may not work as the Xi Jinping administration intends given the undeniable sense that the domestic demand stimulus measures seem inadequate.

■ Economic management based on two plans/ policies

In China, two important economic management plans/ policies were formulated towards the end of last year.

The first was the draft of the 15th Five-Year Plan, which was released in October. The Five-Year Plan is China's most important medium-term plan. It is comprehensive, covering the direction for economic and social development, goals to be achieved during the period of the plan, and major initiatives. Following the adoption of the draft, the official version, formulated by the government with additions such as numerical targets, will be adopted by the National People's Congress (China's parliament) in March. Policies in accordance with the final plan will be implemented until the end of 2030.

The second was the economic roadmap for 2026, announced in December. It was determined at the Central Economic Work Conference, which is held jointly by the Communist Party and the State Council (central government). The roadmap will be fleshed out in the form of a menu of specific policies, including the annual economic and social development plan. After this is adopted by the National People's Congress in March, the implementation of policies will begin in earnest.

The key features of these plans/ policies are presented below, followed by an examination of China's economic roadmap for 2026.

■ Features of the 15th Five-Year Plan

The draft of the 15th Five-Year Plan begins with a general discussion, comprising two chapters, on the importance of the plan and the guiding principles behind it. This is followed by 12 major initiatives covering areas such as industrial policy and domestic demand expansion. Finally, the document ends with statements of commitment to achieve the plan's goals (through Party leadership). The official version to be adopted by the National People's Congress in March is likely to be similar to the draft in terms of structure, for example. An assessment of the 15th Five-Year Plan based on the draft reveals two key features.

The first is that making the country a manufacturing powerhouse is positioned as the top priority. Becoming a manufacturing powerhouse is currently central to China's vision for itself as a great power. Compared to other major countries, manufacturing accounts for a large share of China's economy, and China is already a manufacturing superpower. However, it is not satisfied with the

<Overview of Draft of 15th Five-Year Plan>

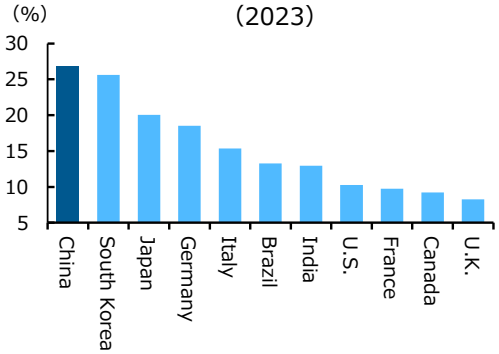
Section	Item
General Discussion	1) Implementation period and importance
	2) Guiding principles and key economic goals
Specific Policies	3) Modernization of industrial structure
	4) Development of new quality productive forces through self-reliance and strength in science and technology
	5) Domestic demand expansion
	6) Establishment of a socialist market economy and acceleration of high-quality development
	7) High-standard opening up
	8) Agricultural and rural development
	9) Balanced regional development
	10) Development of a socialist culture
	11) Common prosperity through improvement and expansion of social security
	12) Transition to environment-focused economic and social development
	13) Improvement of national security and governance capabilities
	14) Modernization of national defense and military
Closing Statements	15) Initiatives for achieving goals

Source: JRI based on the "News of the Communist Party of China"
Note: Shaded items indicate strengthening from the previous Five-Year Plan (or new items).

current situation. Based on a policy of strengthening the industrial base, centered on manufacturing, it is trying to create a national system for breakthroughs in key core technologies such as integrated circuits, machine tools, and software, and seeking to achieve high international competitiveness.

The second is emphasis on the pursuit of quality over quantity in the economy and human resources. For example, while a specific economic growth rate target is not presented, a policy of pursuing appropriate growth through the improvement of total factor productivity, an indicator of technological innovation and production efficiency enhancement, is clearly stated. The content reflects a policy of aiming to become a human-resource superpower rather than a population superpower, and the focus is on boosting individual human capital instead of merely pursuing quantitative economic growth.

<Manufacturing Share of GDP> (2023)



Source: JRI based on U.N.

■ 2026 economic roadmap demonstrates recognition of the severe economic situation

Next are the policies contained in this year's economic roadmap, which was presented at the Central Economic Work Conference. 2026 is positioned as the kick-off year for the Five-Year Plan, and reflecting that, the direction and goals are basically the same as those of the 15th Five-Year Plan.

What is notable, however, is that the roadmap presents a harsher view of the current economy than has been seen before. It states that the contradiction between domestic oversupply and the shortage of demand has become pronounced.

Based on this recognition, this year's economic roadmap prioritizes domestic demand expansion, especially consumption expansion. Alongside executing the plan on special initiatives to boost consumption, announced in March 2025, the roadmap includes numerous other measures to stimulate consumption. These include formulating and implementing an income growth plan, easing purchase restrictions, and continuing the durable consumer goods replacement policy. Furthermore, in response to increasing deflationary pressures, a statement on aiming for appropriate price increases was also included, a further indication of the Chinese leadership's sense of crisis.

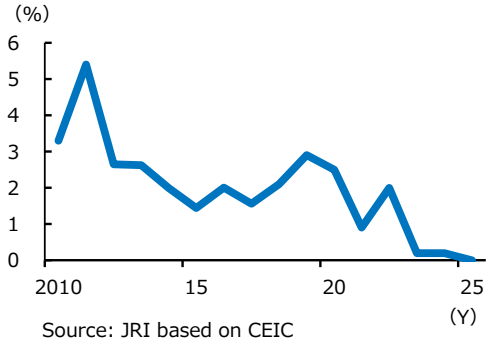
In this way, although the Xi Jinping administration is emphasizing strengthening the supply side over the medium term to make the country a manufacturing powerhouse, in 2026 only, it is ready to prioritize expanding domestic demand by focusing on the demand side. The intention seems to be to start by boosting economic strength in order to achieve the goals of the Five-Year Plan.

<Overview of The Central Economic Work Conference>

Order of Measures Mentioned	Main Economic Tasks for 2026
1)	Expand domestic demand
2)	Foster and accelerate technological innovation and new engines
3)	Continue reforms
4)	Continue opening up
5)	Promote development in harmony with regions
6)	Achieve the "double carbon" goal
7)	Execute measures to improve welfare
8)	Proactively and steadily eliminate key risks

Source: JRI based on the "News of the Communist Party of China"

<Consumer Price Indices in China>



Source: JRI based on CEIC

■ The Xi Jinping administration faces a difficult task

However, the Chinese economy is confronted with various problems, and the Xi Jinping administration is likely to face difficulties managing the economy. From a medium-term perspective, correcting the excessive supply capacity is the biggest challenge. Various measures to make China a manufacturing powerhouse in the future may induce competition among companies to expand investment, exacerbating

the problem of overinvestment in the economy as a whole.

From a short-term perspective, the challenge is to ensure stable growth by stimulating domestic demand. At the Central Economic Work Conference, while the need to expand domestic demand was emphasized, a stance of restraint, such as adherence to fiscal discipline, was also conveyed. Regarding the series of consumption stimulus measures, the impression that they are insufficient in terms of scale and other factors is hard to shake off. The focus for the time being will be on whether China can embark on more aggressive domestic demand stimulus measures at the National People's Congress in March.

(Junya Sano)

Topics Bangladesh's general election to affect the situation in South Asia

The general election to be held in Bangladesh in February this year is a noteworthy event that will influence the stability of bilateral relations between that country and neighboring India, and by extension, the political and economic stability of the South Asian region.

■ Bangladesh approaching a general election

A general election is scheduled for mid-February this year in Bangladesh, which, along with ASEAN countries and India, has been attracting significant attention from Japanese companies as a potential production base to replace China.

To summarize the country's political situation, since the 1990s, power has alternated between two major parties: the AL (Awami League), which has emphasized secularism and nationalism, and the BNP (Bangladesh Nationalist Party), which has emphasized Muslim identity.

The AL government led by Sheikh Hasina remained in power for approximately 15 years starting in 2009, but the administration collapsed in August 2024, after large-scale anti-government protests erupted following a High Court decision regarding preferential treatment in civil service hiring. After resigning as prime minister, Hasina fled to India, while an interim government was established with Nobel Peace Prize Laureate Dr. Muhammad Yunus installed as Chief Adviser. Yunus is the founder of Grameen Bank, which provides microfinance to low-income earners. Under this interim administration, action was taken to restore security and prepare for the holding of a general election.

<Political and Social Developments in Bangladesh>

Year	Events
1947	Gains independence as part of Pakistan (East Pakistan)
1971	Becomes independent from Pakistan after the Bangladesh Liberation War
1975	A military coup results in military rule until 1990
1990	Military rule collapses in the face of a student-led pro-democracy movement
1991	After a general election, a BNP (Bangladesh Nationalist Party) government under Khaleda Zia is inaugurated (term ended in 1996)
1996	After a general election, an AL (Awami League) government under Sheikh Hasina is inaugurated (term ended in 2001)
2001	After a general election, a BNP government under Zia returns to power (after the end of her term in 2006, a caretaker government rules until 2009 due to domestic political turmoil)
2009	After a general election, an AL government under Hasina returns to power
2024	Large-scale anti-government protests erupt, leading to the collapse of the Hasina government (a caretaker government under Dr. Muhammad Yunus is formed)
2026	A general election is to be held

Source: JRI based on various media reports

With the AL's political activities banned under the interim government, public opinion polls overwhelmingly indicate that a BNP-centered administration will be formed. Tarique Rahman, the eldest son of Khaleda Zia, who served as prime minister for a total of 10 years in 1991-96 and 2001-06, is seen as the leading candidate for prime minister, but the new administration will face a mountain of challenges.

Regarding domestic politics and society, the most important tasks are to continue the judicial and political reforms and anti-corruption measures that have been implemented under the interim government and to promote domestic reconciliation. The outcome will depend on the results of the referendum on the "July Charter," which was formulated to advance fundamental structural reforms. This referendum is scheduled to be held on the same day as the general election. Attention is focused on whether a majority of citizens will approve the Charter and progress will be made with constitutional amendments toward changing the current unicameral parliament to a bicameral system, expanding presidential powers, and strengthening local autonomy.

In the economic arena, graduating from LDC (Least Developed Country) status, as defined by the United Nations, is an urgent task for 2026. The new administration is expected to focus on efforts such as supporting productivity improvement through mechanization/ automation and concluding FTAs (Free Trade Agreements) to maintain the export competitiveness of labor-intensive industries such as apparel, which are susceptible to negative impacts from a phased termination of incentives such as preferential

tariffs and export subsidies. In December 2025, Japan and Bangladesh settled on a draft EPA (Economic Partnership Agreement), and progress has also been seen in negotiations toward concluding a CPA (Comprehensive Partnership Agreement) with the EU. Therefore, attention is now focused on whether the new administration will be able to maintain and accelerate this momentum.

In addition, to improve economic and financial stability, another key task is to set out a path to fiscal consolidation through digital-driven administrative efficiency improvements and bold tax reforms, including a review of the controversial VAT (Value Added Tax).

■ Relations with India are the main point of interest in foreign relations

On the diplomatic front, the matter attracting the most attention is whether the new administration can avoid a deterioration in relations with India. During the 15 years of AL rule, Bangladesh and India maintained good relations, as the AL positioned India as a trusted partner. However, since the collapse of that administration, bilateral relations have been worsening.

The trigger for this deterioration in relations was the Indian government's refusal to comply with a request to extradite former Prime Minister Hasina, even after a Bangladeshi court had sentenced her to death.

In addition, the following have also become factors in increasing bilateral tensions: 1) Bangladesh has strengthened its stance demanding "fair and equitable distribution of water resources" from India in negotiations toward revising the Ganges Water Sharing Treaty, which expires in December 2026; 2) Chief Adviser Yunus made remarks about the geographical vulnerability of landlocked northeastern India; and 3) Bangladesh has been improving its relations with Pakistan, which is hostile to India.

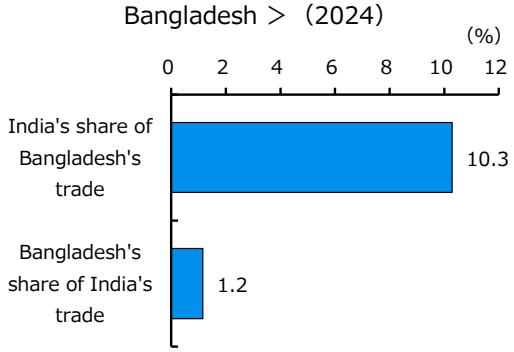
<Recent Developments in India-Bangladesh Relations>

Date	Events
August 2024	Prime Minister Sheikh Hasina resigns and flees to India
November 2024	Bangladesh asks India to extradite Hasina after a Bangladeshi court sentences her to death (although an extradition treaty exists between the two countries, India has avoided giving an official response while continuing to provide her protection)
March 2025	Chief Adviser Muhammad Yunus, during a visit to China, comments on the geographical vulnerability of landlocked northeastern India (India reacted strongly, viewing it as an insult to the Northeast)
April 2025	Bangladesh imposes restrictions on overland imports of cotton yarn and rice from India
May 2025	India imposes restrictions on overland imports of textile products from Bangladesh
November-December 2025	Following criticism by Indian legal experts and political analysts that Hasina's death sentence was politically motivated and not the result of a fair trial, a boycott of Indian products expanded within Bangladesh
December 2026	The Ganges Water Sharing Treaty concluded in 1996 is set to expire

Source: JRI based on various media reports

Under these circumstances, both countries have taken measures to restrict imports from each other, and a movement to boycott Indian products has emerged in Bangladesh, so the impact of deteriorating bilateral relations is also spreading to the economic sphere. Bangladesh accounts for only about 1% of India's trade, meaning that the direct trade impact on the Indian economy is limited, but indirect negative effects such as worsening investor sentiment toward India resulting from changes in the security environment surrounding India cannot be ignored.

<Trade Dependency between India and Bangladesh > (2024)



Source: JRI based on IMF

The BNP, which is expected to play a central role in the new administration, has indicated a policy of breaking away from the dichotomy of "pro-India or pro-Pakistan" and conducting diplomacy based on national interests. However, it will not be easy to suppress domestic opposition and improve relations with India. If the government gives in easily in negotiations over the extradition of former Prime Minister

Hasina or the allocation of Ganges River water resources to avoid economic damage, criticism from the public of being "weak-kneed" may intensify, and support for the administration may be shaken. It is therefore necessary to be mindful of the risk that the new government will maintain a hardline stance and that this will lead to political and economic destabilization throughout South Asia.

(Shotaro Kumagai)

ASIA MONTHLY

January 2026

Topics *The Future of China's Rare Earth Export Controls* ·····1
Topics *Data Center Investment in Southeast Asia Gaining Momentum* ·····3

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Topics The Future of China's Rare Earth Export Controls

Following a meeting between U.S. and Chinese leaders at the end of October 2025, China postponed its imposition of restrictions on rare earth exports for one year. Will China continue to frequently impose rare earth export curbs as a means of exerting pressure on rival nations?

■ 70% of production and 90% of refining occur in China

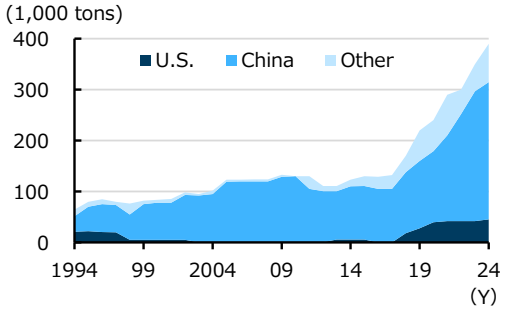
Rare earths feature distinctive electron orbitals that give them exceptional optical and magnetic properties, so their applications are wide-ranging. They are used in industries such as glass/ceramics, chemicals, steel, energy, machinery, electrical/electronic equipment, optical precision instruments, and medical devices, and are often described as the "vitamins" of high-tech sectors.

Until the mid-1980s, the U.S. was the world's largest producer of rare earths, but in the 1990s, China surpassed the U.S. to become the biggest producer on the planet. According to the U.S. Geological Survey (USGS), China's rare earth production surged from 2018 to reach 270,000 metric tons in 2024, accounting for 69.2% of the global total.

Rare earths go through four processes: 1) ore production through mining, 2) oxide manufacturing through extraction, separation, and refining (hereinafter collectively referred to as "refining"), 3) rare earth metal production through electrolysis and reduction, and 4) final product manufacturing through alloying. China's dominance is in refining rather than production.

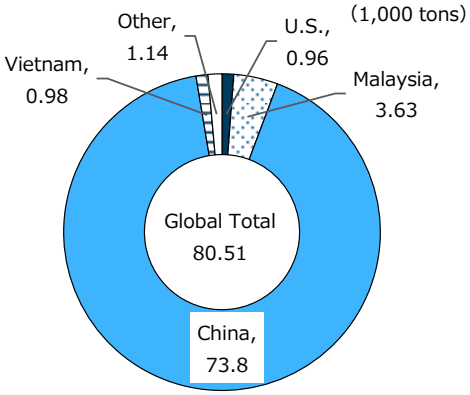
According to the International Energy Agency (IEA), China refined 73,800 metric tons of rare earths in 2024, which was 91.7% of the global total. China controls the world's supply of rare earths and is the only country that can exert pressure on rival nations by restricting rare earth exports.

<Rare Earth Production in The U.S., China, and Other Countries>



Source: Prepared by JRI based on data from USGS
Note: Quantities are expressed as oxide equivalent (rare earth oxides: REO), which indicates rare earth purity.

<Rare Earth Refining by Country (2024) >



Source: JRI based on IEA, Critical Minerals Data Explorer, May 21, 2025
Note: Weights are expressed as rare earth element content, not rare earth oxides (REO).

■ Negative impacts of export controls

The IEA projects that China's share of global rare earth production and refining will stand at 52.3% and 75.7% respectively in 2040. While China's dominance may weaken somewhat, it seems unlikely that worries about stable rare earth procurement among developed countries such as Japan will be quashed.

However, there are several reasons why the Chinese government will be unable to impose restrictions on rare earth exports frequently, and even when it does, the likelihood of such curbs remaining in place for long periods is probably low.

First, if rare earth prices are driven up as a result of export restrictions, this will spur the development of rare earths in countries other than China, as well as the development of resource-saving technologies and alternative materials. With the exception of certain periods, rare earth prices have remained stable over time. This has served to deter the development of rare earths outside China and the development of resource-saving technologies and alternative materials. To maintain the effectiveness of rare earth export restrictions in the future, China will need to continue supplying rare earths at low prices.

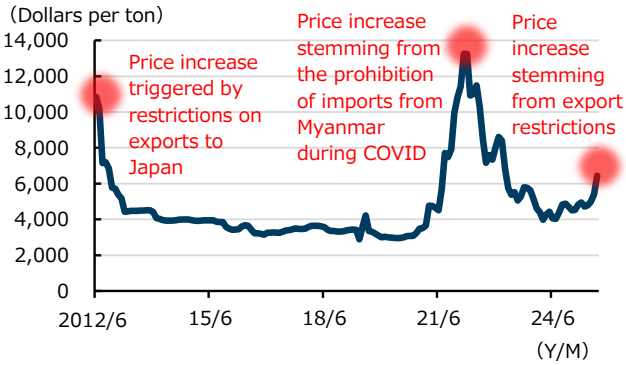
Second, any rise in rare earth prices would again exacerbate problems that have long plagued China's

rare earth industry: illegal mining and smuggling. After export restrictions were imposed in April 2025, domestic-international price gaps for rare earths widened rapidly. By September 2025, for example, international prices of dysprosium had reached $800–1,200 per kilogram, 4.7–7.1 times the domestic Chinese price ($169 per kilogram).

Third, China has become a rare earth importer, and its dominance in rare earths, which is based on its massive refining capacity, is considerably more fragile than before. China has been a net importer of rare earths since 2018, when imports began exceeding exports, and its position as the world's top refiner is contingent on stable imports. China's main source of rare earth imports is Myanmar, but relations between China and the Kachin Independence Army (KIA), an ethnic armed group that controls Myanmar's rare earth production areas, remain unstable.

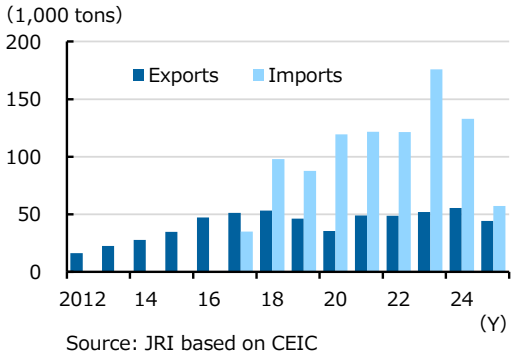
Fourth, if export restrictions on rare earths remain in place for an extended period, China's other exports are also likely to be impacted. The use of rare earths such as neodymium magnets underpins industries that support Chinese exports, including electronic devices like smartphones and PCs, as well as electric vehicles (EVs). If export curbs persist and production in countries other than China stalls, this will also adversely affect the operations of Chinese companies manufacturing and exporting components that do not contain rare earths.

<Rare Earth Prices>



Source: JRI based on IMF
Note: The IMF prepared the material based on UN trade statistics (Comtrade).

<China's Rare Earth Trade>



Source: JRI based on CEIC
Note: Figures for 2025 are for January-August.

■ Export controls are merely a bargaining chip

For the above reasons, the Chinese government will be unable to impose restrictions on rare earth exports frequently, and even when it does, the likelihood of such curbs remaining in place for long periods is expected to be low. For China, the most desirable outcome would be to create a situation where rival nations are made aware of the sourcing risks associated with rare earths but are nevertheless unable to reduce their dependence on China. It could do this by continuing to supply them with rare earths at low prices. In such a scenario, "export bans" would just be a final trump card, with the most sensible strategy for China being to employ reduced export volume via "prohibition with exceptions" or "licensing systems" as negotiation leverage whenever necessary. Moves among developed nations to secure alternative rare earth suppliers to China, such as Australia, are intensifying. However, considering China's likely stance and strategy as outlined above, importing countries may find that measures like increasing stockpiles prove surprisingly effective.

(Yuji Miura)

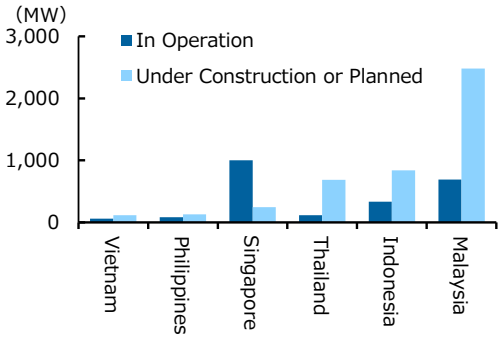
Topics Data Center Investment in Southeast Asia Gaining Momentum

Investment in data centers in Southeast Asian nations is surging amid the AI boom. While this will contribute to job creation and industrial development in these countries, it also exposes them to the risks of power and water shortages as well as being caught in the middle of the U.S.-China rivalry.

■ Data center investment surges in Southeast Asia

In Southeast Asia, investment from outside the region for data center construction is pouring in amid rising global AI demand. Malaysia, Indonesia, and Thailand in particular are attracting attention as investment destinations. Singapore, which has already established itself as a data center hub, has tightened screening for land acquisitions and investments, making new construction difficult. As a result, the preceding countries have been garnering interest as alternative locations. The investments are being led by global IT companies such as Google, Microsoft, and AWS from the U.S., and Alibaba Cloud and Beijing Haoyang Cloud Data Technology from China.

<Data Center Operational Capacity>



Source: JRI based on Cushman & Wakefield [2025]

■ Background to increased investment

Three factors underlie the expansion of data center investment in Southeast Asia.

The first is the region's geopolitical neutrality. Amid intensifying U.S.-China tensions, global companies are accelerating moves to relocate their data storage and processing operations to politically neutral Southeast Asia to ensure data privacy and security.

The second is growing local demand for digital services. In Southeast Asia, high internet penetration rates combined with large youthful populations have fueled a rapid expansion of digital services such as e-commerce and social media. This is increasing demand for computing power and data storage, which is expected to result in more data centers.

The third is proactive investment promotion measures by national governments. Malaysia, Indonesia, Thailand, and other countries have been introducing policies one after another to entice investment in data center-related infrastructure. The measures include tax incentives and deregulation aimed at attracting foreign capital.

<Measures to Attract Data Center Investment>

Country	Description
Thailand	・Exemption from value-added tax (VAT) ・Simplification of review and approval procedures ・Tax and regulatory incentives for projects that meet certain criteria
Indonesia	・Incentives for construction in the Nongsa Digital Park Special Economic Zone ・Plans to establish a dedicated regulatory authority for data centers
Malaysia	・Simplification of review and approval procedures ・Comprehensive policy support based on the "MyDigital" Malaysia Digital Economy Blueprint ・Incentives such as the "Penang Silicon Design (PSD) @5km+" initiative

Source: JRI based on various media reports

■ Economic benefits from promoting data center construction

Potential economic benefits are driving national governments to actively attract data center investment. These include 1) production and employment expansion, 2) human resource development and technology transfer, and 3) enhancing industrial value-added.

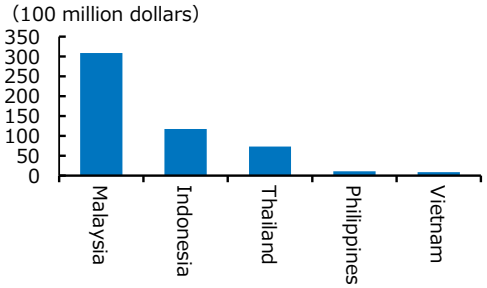
Regarding production and employment expansion, data center-related investments involve large sums of money per project and are thus expected to generate economic ripple effects not only for the construction sector but also for a wide range of related industries such as electric power, telecommunications, and manufacturing. If all the projects currently under construction or planned in Southeast Asian countries are completed, they are projected to generate production inducement effects that could amount to tens of

billions of dollars. They are also expected to positively impact local government finances through job creation and increased tax revenue resulting from the boom in construction. However, since data center operations and management are highly automated and require minimal personnel, job creation after they have gone into operation is likely to be limited.

As for human resource development and technology transfer, the cultivation of highly skilled IT professionals, as well as technology transfer to domestic companies through foreign direct investment (FDI), is anticipated.

Finally, on enhancing industrial value-added, undertaking high-value-added operations such as data processing and AI training domestically will catalyze a transformation of the industrial structure from labor-intensive to knowledge-intensive. This will lead to economy-wide productivity improvements. In Southeast Asian nations facing declining birthrates and aging populations, industrial advancement to enhance long-term potential growth is an urgent task.

<Production Inducement Effects of Data Center Construction>



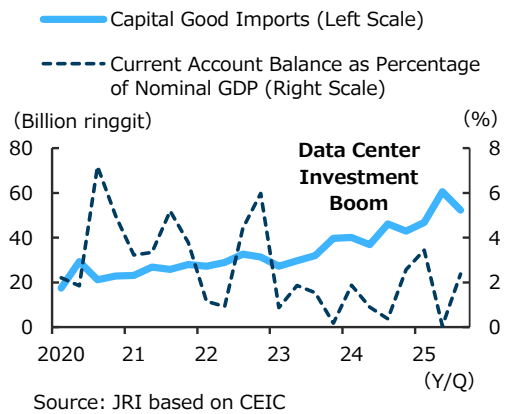
Sources: JRI based on ADB, UN, ILO, and Cushman & Wakefield [2025]
Note: Production inducement effects if all the projects currently under construction or planned are completed. Construction costs are estimates based on Cushman & Wakefield [2025].

■ Challenges and risks have also emerged

However, several challenges and risks have also become apparent with the surge in data center investment, and recipient countries will need to respond to them.

First, there are concerns about pressure on supplies of electric power and water resources. According to the International Energy Agency (IEA), electricity demand from data centers within the region is projected to double by 2030 compared to 2024. But in Southeast Asia, the introduction of renewable energy and the development of transmission/distribution infrastructure have not kept pace with growing demand, and there is a real risk of electricity shortages. In addition, given the region's hot and humid climate, large amounts of water will be required for cooling data centers. This could strain water supplies intended for other purposes. According to the Central Bank of Malaysia, a 50-MW data center is estimated to consume approximately 22,000 households' worth of electricity and about 2,200 households' worth of water every day.

<Malaysia's Capital Good Imports and Current Account Balance>



Source: JRI based on CEIC

Second, the investments will put downward pressure on these countries' current account balances in the short term. Taking Malaysia as an example, the recent expansion of data center investments has necessitated large-scale procurement of capital goods such as servers and cooling equipment from abroad during the construction phase. This has led to a narrowing of the country's trade surplus and pushed the current account balance as a percentage of nominal GDP down to around 1%. Malaysia's current account remains in surplus, suggesting that there is no need for excessive concern there, but Indonesia and the Philippines are both running current account deficits, so they will need to be more cautious.

Third, there are geopolitical risks. Chinese companies are increasingly utilizing the data centers being built in Southeast Asian countries to perform advanced computational tasks such as training AI models. This behavior is partly a consequence of U.S. restrictions on exports of high-performance semiconductors to China, which have made such tasks difficult to perform using data centers inside China. Going forward, the U.S. may view such moves by Chinese firms as problematic and impose sanctions on Southeast Asian nations. But if Southeast Asian countries restrict data center use by Chinese companies out of consideration for the U.S., they risk worsening their relations with China and suffering disadvantages in trade and investment as a result. As these scenarios illustrate, Southeast Asian nations may find themselves forced to navigate difficult trade-offs amid the U.S.-China rivalry.

(Wu Zijing)

English translation published in January 2026

Monthly Report of Prospects for Japan's Economy

December 2025

Macro-economics Research Center
Economics Department

The Japan Research Institute, Limited

https://www.jri.co.jp/en/reports/reports/

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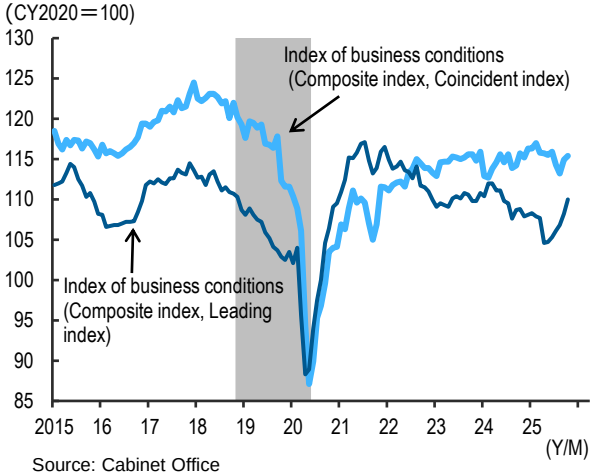
The General Situation – The economy is gradually recovering, though activity has stalled in some areas

Figure 1-1 Economic Activity

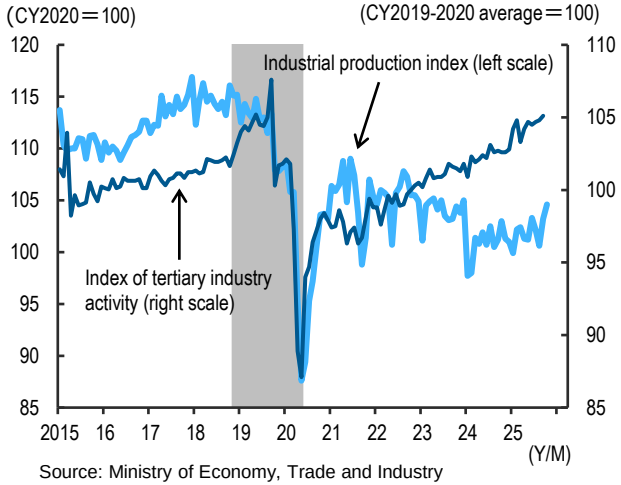
The coincident index of business conditions is rebounding.
The leading index is picking up in response to rising stock prices.



Source: Cabinet Office

Figure 1-2 The Corporate Sector

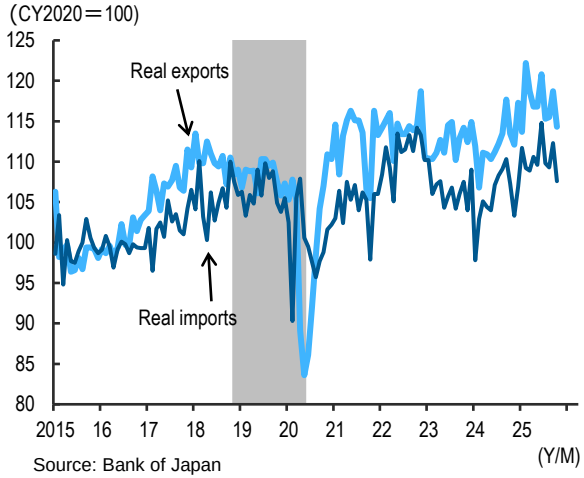
Industrial production is fluctuating.
Economic activity in the service sector is recovering.



Source: Ministry of Economy, Trade and Industry

Figure 1-3 External Demand

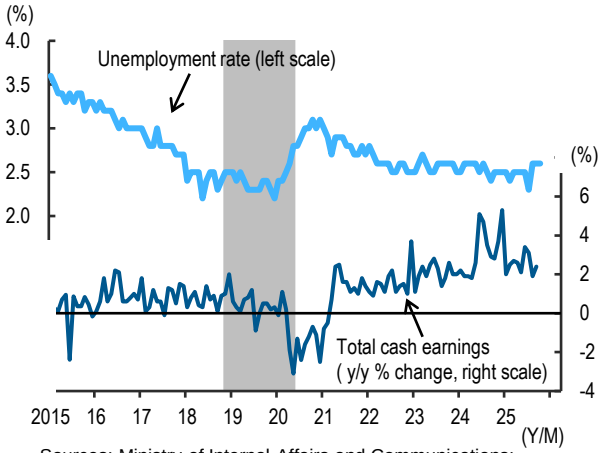
Exports are weak overall.
Imports are also down.



Source: Bank of Japan

Figure 1-4 Employment and Income

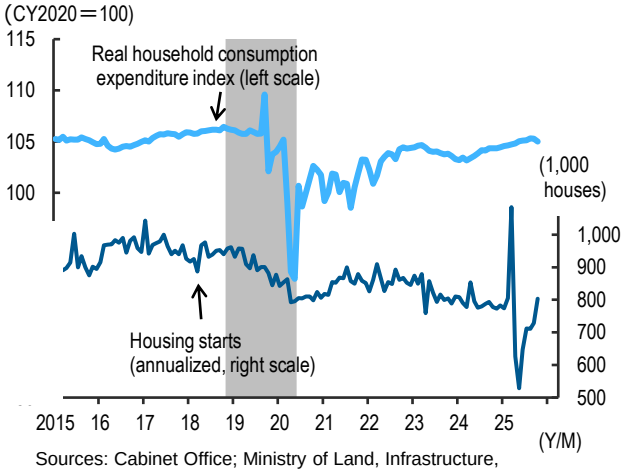
The unemployment rate is low, hovering around 2.5%.
Nominal wage growth is solid on average.



Sources: Ministry of Internal Affairs and Communications;
Ministry of Health, Labor and Welfare

Figure 1-5 The Household Sector

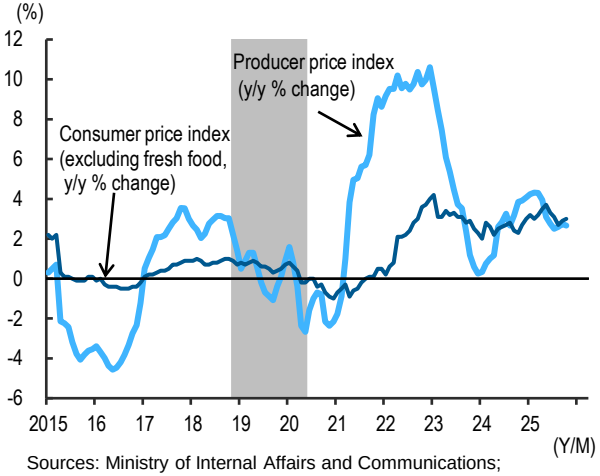
Consumption continues to gradually recover.
Housing starts are picking up.



Sources: Cabinet Office; Ministry of Land, Infrastructure,
Transport and Tourism

Figure 1-6 Prices

Producer price inflation is slowing, particularly in energy.
Consumer price inflation is accelerating slightly.



Sources: Ministry of Internal Affairs and Communications;
Bank of Japan

∗ The shaded area represents the period during which the Japanese economy was in recession.

Real GDP for Q3 2025 has been revised downward

◆ Capital investment and public investment were revised downward

In the second QE (quarterly estimate) for Q3 2025, real GDP growth was put at -2.3% year over year (YoY) (-0.6% quarter over quarter (QoQ)), a downward revision from the -1.8% in the first QE. Personal consumption and external demand were revised upward, while capital investment and public investment saw downward revisions, dragging the overall figure down.

◆ The sluggish manufacturing sector is weighing heavily on the economy

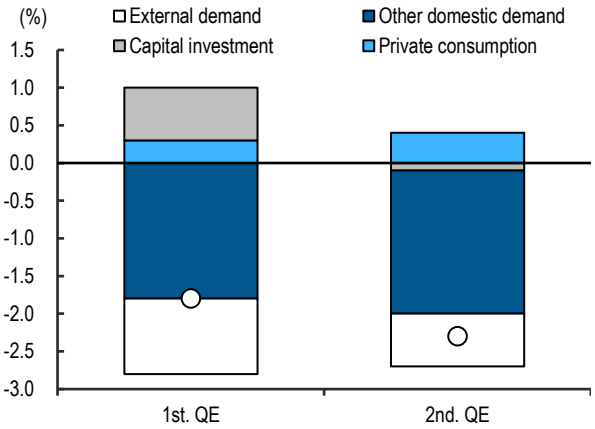
Production in the manufacturing sector is soft. Among the "New Indices to Capture Business Conditions" announced by the Cabinet Office, goods-related indicators have been weak since the beginning of 2025.

The main reason is lower exports. By country/ territory, exports to Asia, where semiconductor demand is firm, have continued to rise, but a slump in exports to the U.S. has pulled down the overall figure. the rush of exports in anticipation of U.S. tariff hikes has slowed, and companies have begun passing through tariff costs to selling prices in the U.S., causing demand within the U.S. to weaken.

◆ The service sector is recovering

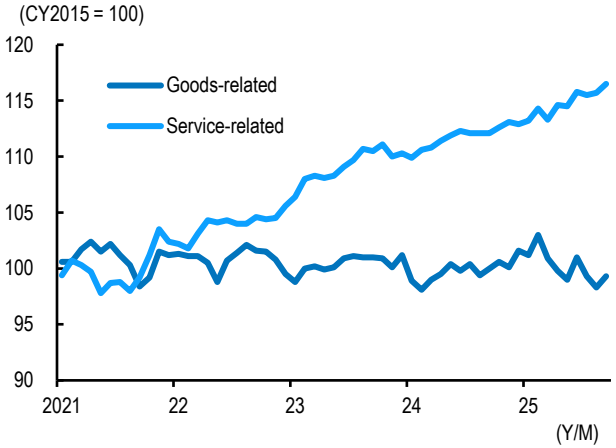
On the other hand, the service sector is driving an economic recovery. Looking at rates of change compared to 2022 in the Indices of Tertiary Industrial Activity, sectors, such as wholesale, that do a lot of business with the manufacturing industry have seen decreases, while living and amusement-related services, finance/ insurance, and information/ communications have been performing well. Business conditions in these sectors have been boosted by 1) firm amusement-related consumption, 2) increased financial-related transactions in response to rising stock prices and interest rates, and 3) strong IT-related demand.

Figure 2-1 Real GDP Growth Rate for Q3 2025 <YoY annual growth rate>



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office

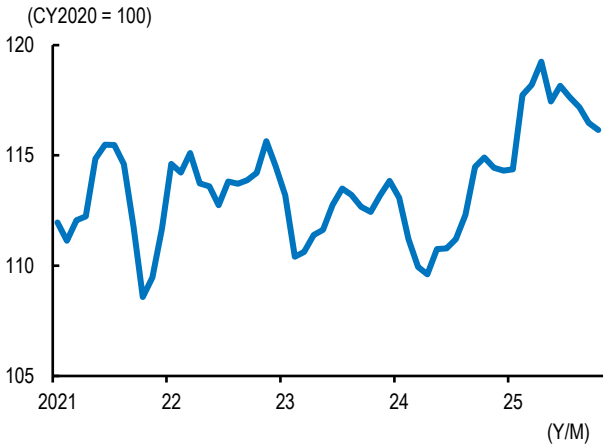
Figure 2-2 "New Indices to Capture Business Conditions" <the Coincident Index>



Source: Cabinet Office

Note: The 17 indicators designated by the Cabinet Office as reference indicators for the Indexes of Business Conditions, categorized into goods-related indicators and services-related indicators.

Figure 2-3 Real Exports <seasonally adjusted>



Source: Japan Research Institute, Ltd. based on data from the Bank of Japan

Note: Backward 3-month average.

Corporate earnings are increasing, but the rise in capital investment has paused

◆ Profits are up thanks to cheaper energy and the weak yen

According to the Financial Statements Statistics of Corporations, ordinary profit (all industries, seasonally adjusted, same below) for the third quarter increased 3.3% YoY, rising for the second consecutive quarter. While net sales declined from the previous fiscal year due to the impact of U.S. tariffs, ordinary profit was boosted by lower energy costs and higher income in yen terms from overseas operations thanks to the weaker yen.

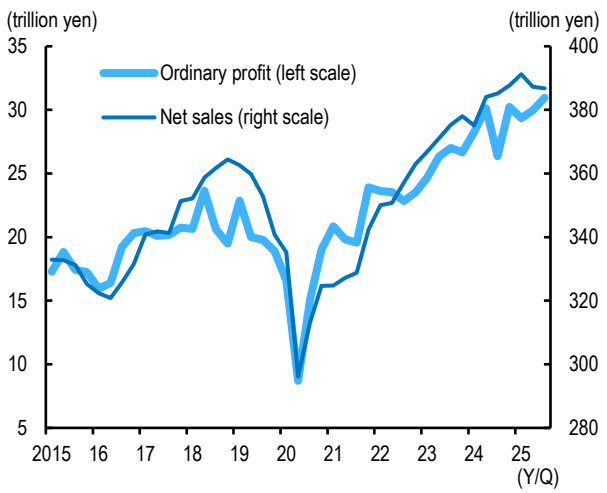
The rising profit trend is expected to continue going forward. It is expected that 1) lower costs due to cheaper energy, 2) firm digital demand, and 3) solid personal consumption as real wage growth turns positive will contribute to improved business performance.

◆ Capital investment has slowed temporarily

Capital investment (including software investment) was down 1.4% QoQ, falling for the first time in six quarters. In terms of categories, the strong growth in software investment lost steam, and machinery investment and construction investment were weak, particularly in the manufacturing sector. In response to declines in net sales due to U.S. tariffs, some companies may have revised their capital investment plans.

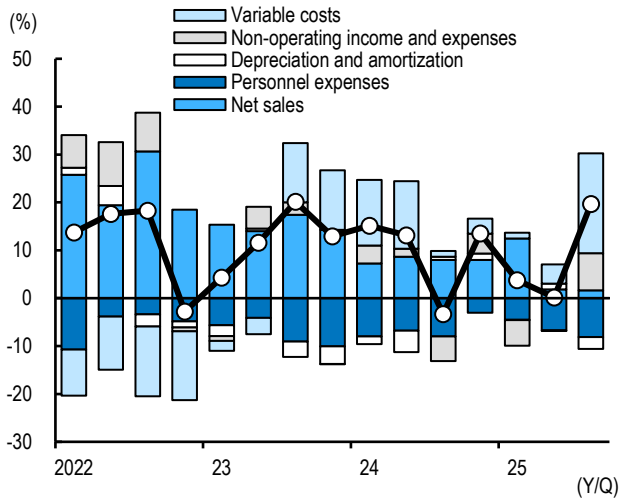
Supported by profit growth, companies are expected, in the near term, to proactively invest in solving medium- to long-term problems. In the Sakura Report (Regional Economic Report) released by the Bank of Japan (BoJ) in October this year, companies frequently mentioned their appetite for investment over the medium to long term, such as for labor saving, DX, and the replacement/ upgrade of existing equipment. However, amid growing labor shortages, particularly in the construction industry, there is also a risk that some capital investments may not be executed as planned.

Figure 3-1 Ordinary Profit and Net Sales <seasonally adjusted>



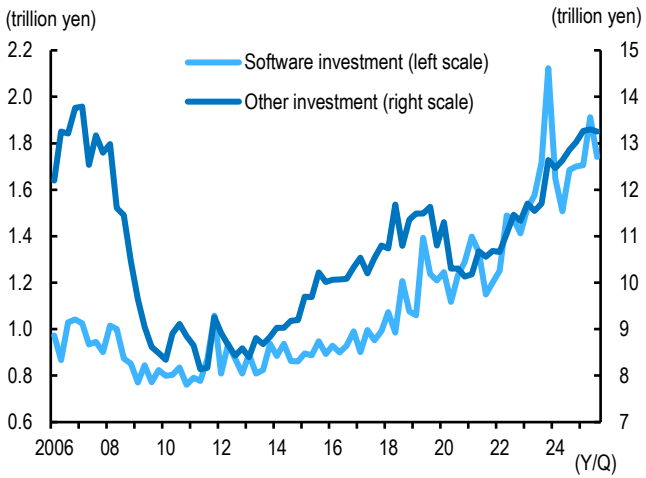
Source: Japan Research Institute, Ltd. based on data from the Ministry of Finance
Note: Firms of all sizes and in all industries apart from financial and insurance are included.

Figure 3-2 Factors Affecting Ordinary Profit



Source: Japan Research Institute, Ltd. based on data from the Ministry of Finance
Note: Firms of all sizes and in all industries apart from financial and insurance are included.

Figure 3-3 Capital Investment by Corporate Enterprises <seasonally adjusted>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Finance
Note: Firms of all sizes and in all industries apart from financial and insurance are included.

The employment/ income environment is favorable and consumer confidence is also improving

◆ A favorable employment/ income environment is supporting personal consumption

Personal consumption continues to gradually recover. By type, goods consumption is picking up as a result of a pause in the surge of food prices, while services consumption is also increasing moderately.

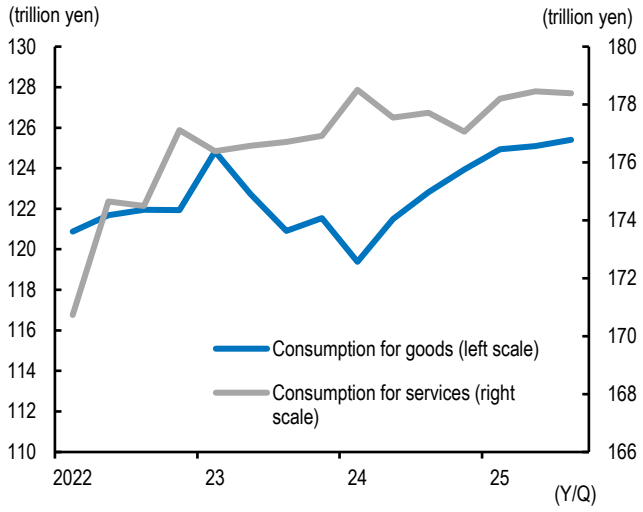
Personal consumption is expected to keep rising in the near term, supported by the favorable income environment. While inflation will slow, nominal wages are anticipated to continue increasing at a relatively rapid pace as rising prices and labor shortages fuel heavy pressure for higher pay from workers. At a three-way meeting between government, labor, and management representatives at the end of November, Prime Minister Takaichi, ahead of next year's shunto (spring wage negotiations), called for wages to be raised by over 5%, and all three groups are maintaining a proactive stance toward generous, ongoing wage increases. Given such developments, the rates of wage increases to be agreed at the 2026 shunto are expected to be around 4.8%. Wage increase rates will be lower than last year, but still look set to remain at high levels.

◆ Improved confidence and rising stock prices are providing a tailwind for confidence

Improved consumer confidence is also expected to lift consumption. As the inflation rate falls, the Consumer Confidence Index is picking up. Slower price rises for frequently purchased items like energy and food, in particular, are highly likely to give a significant boost to consumer confidence.

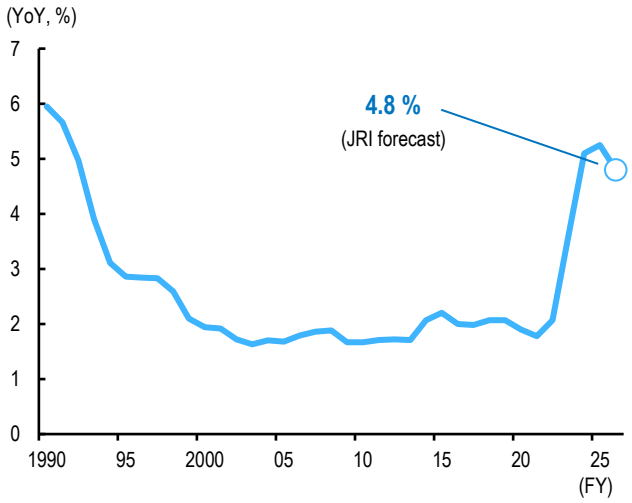
Rising stock prices are also providing a tailwind for consumption via the wealth effect. Household asset income has increased due to such factors as the recent stock market rally, and consumer perceptions concerning asset values have also improved markedly.

Figure 4-1 Real Private Consumption <by Type>



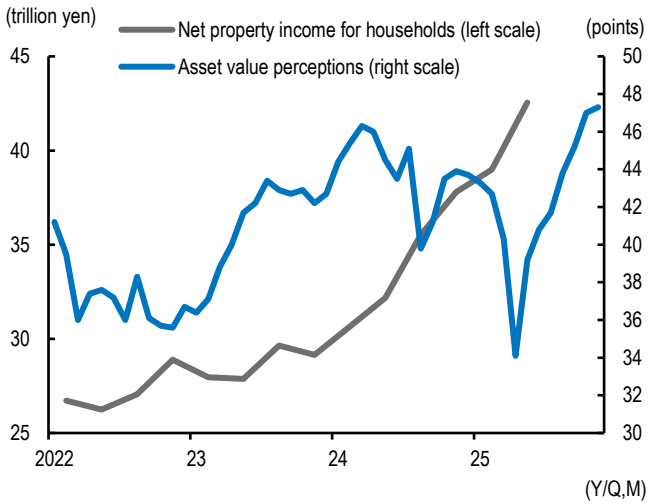
Source: Japan Research Institute, Ltd. based on data from the Cabinet Office

Figure 4-2 Rate of Wage Increases from Spring Negotiations



Source: Japan Research Institute, Ltd. based on data from the Japanese Trade Union Confederation

Figure 4-3 Net Property Income for Households and Asset Value Perceptions



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office and the Ministry of Internal Affairs and Communications

Note: Perceptions of asset value apply to households with two or more members.

Inflation set to slow

◆ Energy prices are pushing down inflation

In October, core inflation (all items, less fresh food) accelerated slightly from the previous month to hit 3.0%. While the pace of rising goods prices was stable, prices of services such as hotel accommodation and dining out rose at a faster clip.

Price growth is expected to slow until the middle of next year and then remain around 2%. The main reason is that energy prices will fall due to lower market prices and the implementation of measures to control prices, such as the abolition of the provisional tax rate for gasoline. In addition, with prices of agricultural produce and imported food climbing more slowly, food price growth is also expected to weaken.

However, prices of services will rise faster, and this is highly likely to support prices overall. As higher labor costs are passed through to prices, general service prices will continue to increase, and the government and local authorities are planning to raise standard prices for public services, something that they have held off from doing for many years.

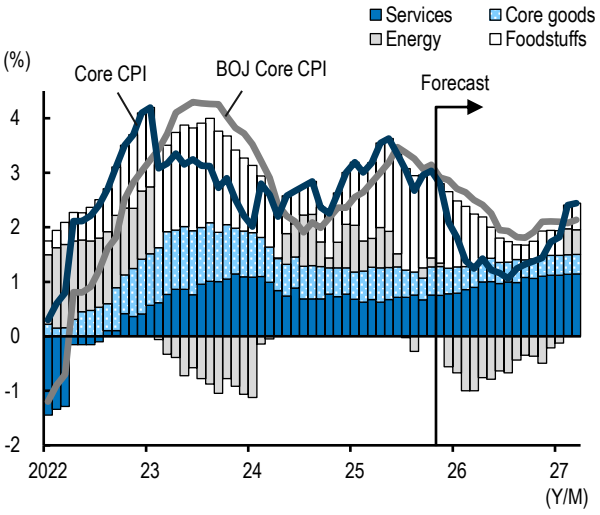
◆ The BOJ will raise interest rates in the new year

At its monetary policy meeting in October, the Bank of Japan (BOJ) decided to keep its policy rate unchanged.

Long-term interest rates rose in December. Rates were driven higher due to concerns about fiscal deterioration and growing expectations of an interest rate hike by the BOJ.

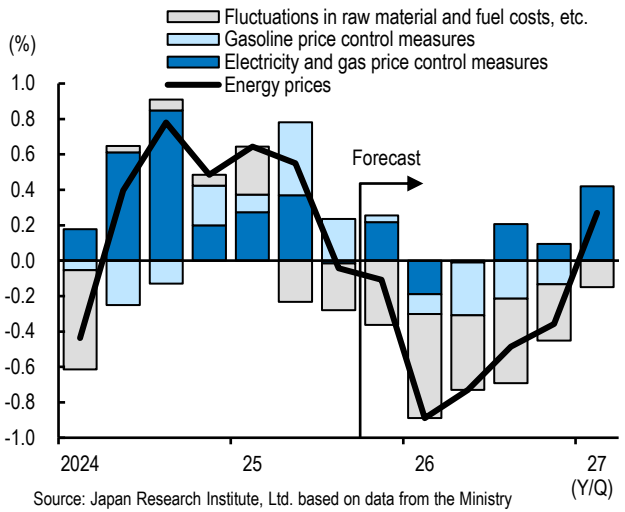
It is highly probable that the BOJ will raise interest rates before the end of this year or early next year, after assessing the likely trend with wage increases in the next fiscal year. Long-term interest rates look likely to trend upward, reflecting heightened anticipation of a rate hike by the BOJ and increased fiscal spending by the government. However, if jitters about a deterioration in fiscal discipline or political turmoil take hold, there is also a risk that long-term interest rates will soar.

Figure 5-1 Consumer Price Index <YoY>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

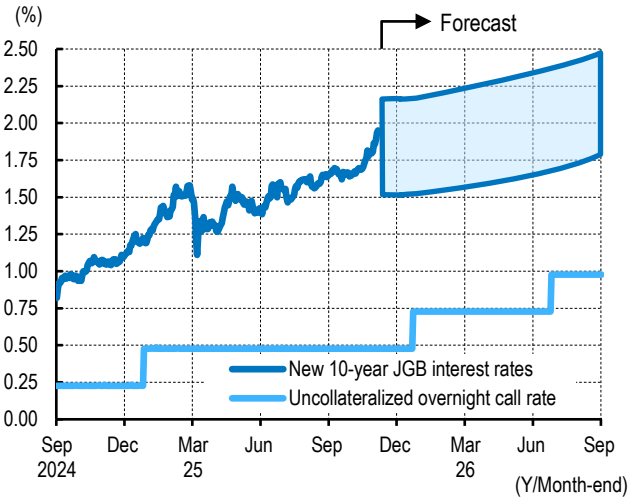
Figure 5-2 Energy's Impact on Core CPI



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Note: Electricity and gas price suppression measures incorporate effects through March 2026 usage. Gasoline price suppression measures incorporate the abolition of the provisional tax rate and the preceding expansion of subsidies.

Figure 5-3 Outlook for Japan's Main Interest Rates



Source: NEEDS-FinancialQUEST

Topic ①: Worsening Sino-Japanese relations to have a major impact on demand from foreign tourists

◆ Danger of prolonged impact on demand for travel to Japan

Following Prime Minister Takaichi's Diet remarks regarding a potential Taiwan contingency, the Chinese government issued an advisory urging tourists and students to refrain from traveling to Japan. China accounts for over 20% of both visitor numbers and total inbound spending, so the impact on overall demand from foreign tourists will be substantial.

Worsening Sino-Japanese relations has also depressed demand from foreign tourists in the past. When anti-Japan protests erupted in 2012 over the nationalization of the Senkaku Islands, the number of Chinese visitors to Japan fell by as much as 30%. However, the Chinese government did not impose official travel restrictions then, and visitor numbers rebounded sharply within less than a year.

A comparable case that did prompt government-imposed travel restrictions was China's 2017 sanctioning of South Korea. As retaliation for South Korea's deployment of the THAAD (Terminal High Altitude Area Defense) missile system, China banned group tours to South Korea. As a result, the annual number of Chinese visitors to South Korea halved. The ban was subsequently lifted, but only in phases, and low traveler numbers persisted for an extended period.

◆ The key factor is whether China restricts travel to Japan

The impact on demand from foreign tourists will depend heavily on the stance of the Chinese government. If China's hardline posture toward Japan eases and no restrictions on Japan travel are imposed, the drop in inbound spending would be estimated to be only about 500 billion yen. However, if China imposes a long-term travel ban similar to the one it used to punish South Korea, spending by Chinese visitors to Japan would fall by 1.2 trillion yen over the next year, with cumulative losses reaching 2.3 trillion yen over three years.

Figure 6-1 Impact of Deteriorating Relations with China on Tourism

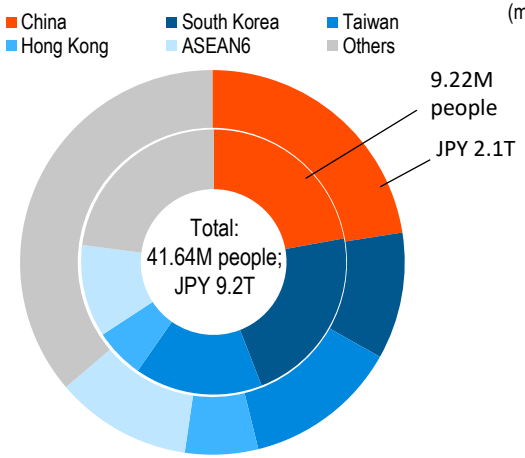
2025: Retaliatory measures following Prime Minister Takaichi's remarks
- **Chinese government urges** tourists and students to refrain from traveling to Japan
- State-owned travel agencies cancel group tours
- Airlines waive cancellation fees for Japan-bound tickets

2012: Anti-Japan demonstrations over Senkaku Islands nationalization
- Temporary decline in demand for travel to Japan due to heightened anti-Japanese sentiment
- **Chinese government did not restrict** tourism

2017: Sanctions against South Korea over missile deployment
- **Chinese government imposed** a comprehensive, long-term **ban** on group tours
- Clear **administrative guidance** issued to travel agencies
- Sanctions gradually lifted starting the following year, but full lifting took six years

Source: Japan Research Institute, Ltd. based on various reports as of December 8, 2025

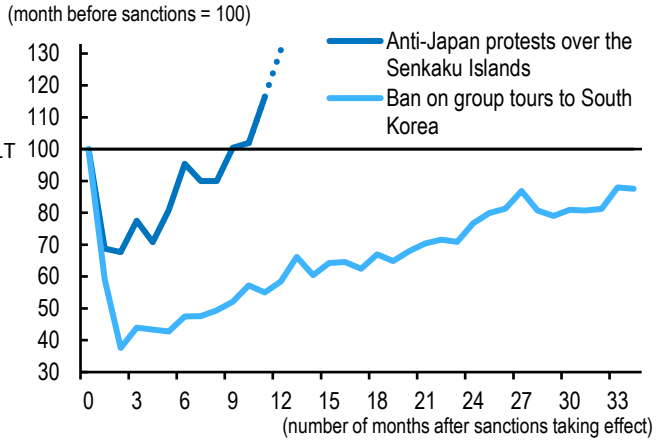
Figure 6-2 Breakdown of Inbound Demand



Source: Japan Research Institute, Ltd. based on data from the Japan Tourism Agency and Japan National Tourism Organization

Note: Inner circle: Number of inbound visitors; Outer circle: Inbound spending. October 2024 to September 2025..

Figure 6-3 Changes in Chinese Tourist Numbers <seasonally adjusted>



Source: Japan Research Institute, Ltd. based on data from the CEIC and Japan National Tourism Organization

Note: Anti-Japan protests over the nationalization of the Senkaku Islands began in September 2012, while the ban on group tours to South Korea following the THAAD deployment began in February 2017.

Topic②: Building the foundations needed for "crisis-management investment"

◆ Growing importance of "crisis-management investment"

Prime Minister Takaichi has positioned "crisis-management investment" as a core pillar of her growth strategy, emphasizing it as a means of fundamentally strengthening supply capacity in anticipation of risks and social challenges. With numerous domestic and international risks surrounding Japan's economy and the overall supply–demand balance in the economy tightening, such investment is crucial both for economic security and for enhancing supply capabilities.

◆ Need to focus on who will undertake capital investment

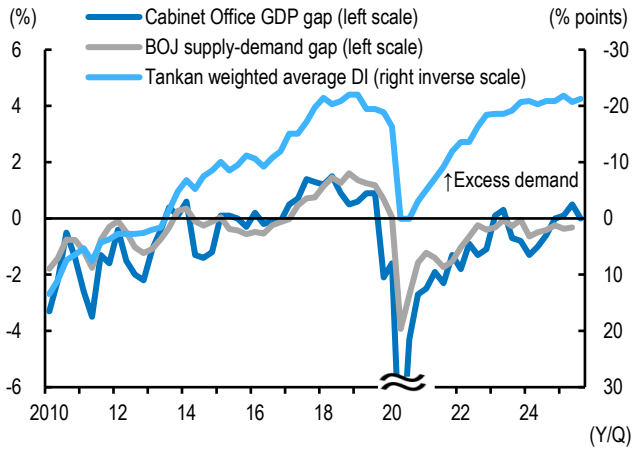
However, in the government's FY2025 economic stimulus package, measures to support households are what stand out. Spending on household support, such as abolishing the provisional tax rate for gasoline and giving cash handouts to families with children, runs to a total of 11.7 trillion yen, a significant increase from the previous fiscal year. Given that the current economy cannot be described as suffering from a clear shortage of demand, broad-based household support risks adding inflationary pressure by upsetting the supply-demand balance.

Meanwhile, support for investment remains roughly on the same scale as last year, and there are two key issues with it: The first is that many of the measures target growth sectors, which is not a particularly new approach. Similar growth-oriented investments have been emphasized under previous governments, so the additional boost may be limited.

The second is that most of the investment support is financial in nature. With backlogs of unfilled orders and construction delays already suppressing investment, there is a danger of further reinforcing a situation in which "even with money, things can't get built."

Looking ahead to the formulation of the main budget for next fiscal year, it is essential to strengthen the foundations for executing capital investments by improving productivity and working conditions in the construction and manufacturing sectors. Moreover, given the supply constraints on physical investment, placing greater emphasis on intangible investment, such as in human capital, could be another viable approach.

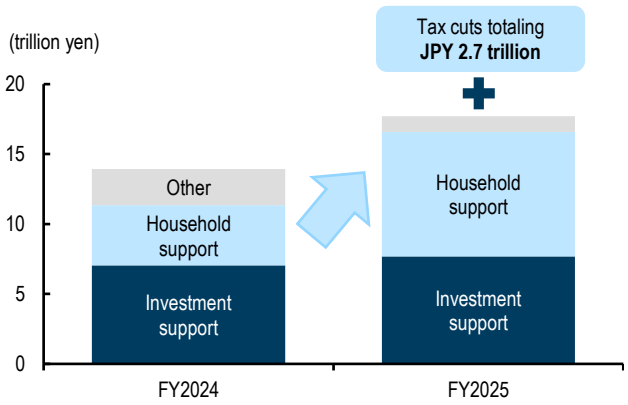
Figure 7-1 Supply-Demand Gap Related Indicators



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office and Bank of Japan

Note: The Tankan Weighted Average DI is calculated by weighting the DI for production/ business equipment and the DI for employment levels using the capital-labor distribution ratio.

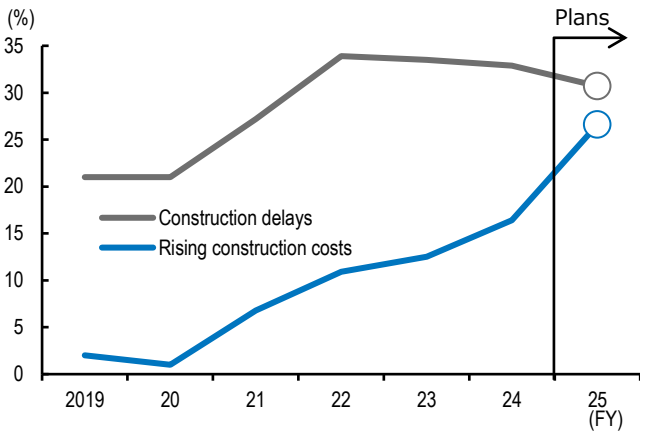
Figure 7-2 Supplementary Budget for FY2024 and FY2025



Source: Japan Research Institute, Ltd. based on data from the Ministry of Finance, the Prime Minister's Office, and various media reports

Note: "Investment support" refers to the total expenditures shown in the lower-left chart (excluding special accounts). "Household support" refers to expenditures aimed at "overcoming high prices" and "creating conditions for wage increases" in FY2024, and "ensuring livelihood security and responding to high prices" in FY2025.

Figure 7-3 Factors Behind Capital Investment Performance Falling Short of Initial Plans



Source: Japan Research Institute, Ltd. based on data from Development Bank of Japan

Note: Percentage of companies selecting each option. Surveyed large enterprises across all industries, with up to three multiple responses allowed. Note that other options vary by fiscal year.

The economy to gradually recover, driven by domestic demand

◆ Domestic demand to support the economy

The Japanese economy is expected to continue its gradual recovery going forward. As households' real purchasing power improves, personal consumption will gradually rise, supporting the economy. The inflation rate is expected to decline through mid-next year, centered on energy and food prices, while wage increase rates are projected to remain at a relatively high level. Labor unions are poised to demand wage increases similar to last year's due to continued inflation. With labor shortages intensifying, it is expected that management will agree to their wage demands.

Capital investment also looks set to keep rising. Companies' enthusiasm for investment to address medium- to long-term challenges such as labor saving and digital transformation will not be shaken.

External demand will continue to decelerate in the near term, but should soon bottom out. Exports of IT-related goods to meet firm AI-related demand will provide support, and the global economy, including the U.S. economy, is expected to recover as accommodative fiscal and monetary policies are deployed in various countries, which should give Japan's exports a lift.

◆ Downside risks exist domestically and internationally

Real GDP growth is projected to remain solid, registering 0.9% in FY2025 and 0.7% in FY2026.

However, there are significant downside risks both domestically and internationally. Domestic factors include 1) large-scale demand stimulus measures and 2) rising xenophobia, which could lead to supply constraints becoming apparent. This might trigger an acceleration in inflation due to tight supply-demand conditions, as well as stagnation in corporate activity as a result of labor shortages. As for international factors, there is a risk of the U.S. imposing additional tariffs if, for example, Japan's trade surplus with the U.S. continues or its investment in the U.S. falls short of the agreed target.

Figure 8　Projections for Japan's GDP Growth and Main Indicators (as of December 8, 2025)

(seasonally adjusted, annualized % changes from the previous quarter)

	CY2025				CY2026				CY2027	FY2024	FY2025	FY2026
	1～3	4～6	7～9	10～12	1～3	4～6	7～9	10～12	1～3			
	(Actual)			(Projection)						(Actual)	(Projection)	
Real GDP	1.5	2.1	−2.3	0.8	1.1	1.0	1.0	1.0	0.9	0.5	0.9	0.7
Private Consumption Expenditure	2.9	1.0	0.8	0.7	1.1	1.1	0.8	0.7	0.6	0.2	1.2	0.9
Housing Investment	−0.2	1.7	−29.0	9.2	1.1	0.6	0.0	−0.1	−0.3	−0.7	−4.4	−0.7
Business Fixed Investment	0.9	5.4	−0.8	1.0	1.3	1.4	1.6	1.8	1.8	0.9	1.6	1.3
Private Inventories (percentage points contribution)	(1.9)	(−0.1)	(−0.4)	(0.0)	(0.0)	(−0.0)	(−0.0)	(−0.0)	(−0.0)	(0.1)	(0.2)	(−0.0)
Government Consumption Expenditure	−1.2	1.4	0.6	0.9	0.9	1.0	1.1	1.1	1.1	2.3	0.4	1.0
Public Investment	−0.4	0.2	−4.2	0.8	0.9	1.0	1.1	1.2	1.2	0.1	−0.7	0.8
Net Exports (percentage points contribution)	(−2.3)	(0.4)	(−0.7)	(−0.5)	(−0.2)	(−0.2)	(−0.1)	(−0.0)	(−0.0)	(−0.4)	(−0.2)	(−0.2)
Exports of Goods and Services	−0.4	8.0	−4.9	−1.7	1.0	1.2	1.6	2.0	1.9	1.7	2.2	0.6
Imports of Goods and Services	9.9	5.7	−1.8	0.6	1.8	1.9	2.0	2.1	2.1	3.3	2.8	1.5

(% changes from the previous fiscal year)

(% changes from the same quarter of the previous year)

Nominal GDP	5.3	5.3	4.1	3.5	2.5	2.4	3.1	3.1	3.7	3.7	3.8	3.1
GDP deflator	3.6	3.3	3.4	3.2	1.9	2.3	2.3	2.1	2.8	3.2	3.0	2.4
Consumer Price Index (excluding fresh food)	3.1	3.5	2.9	2.6	1.5	1.3	1.2	1.5	2.2	2.7	2.6	1.6
Unemployment Rate (%)	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Exchange Rates (JY/US$)	153	145	147	153	150	150	148	148	149	153	149	149
Import Price of Crude Oil (US$/barrel)	79	75	72	70	64	64	63	62	62	83	70	63

Sources: Cabinet Office; Ministry of Internal Affairs and Communications; Ministry of Economy, Trade and Industry; Ministry of Finance
The projection figures are based on those from the Japan Research Institute, Ltd.

English translation published in February 2026

Monthly Report of Prospects for Japan's Economy

January 2026

Macro-economics Research Center
Economics Department

The Japan Research Institute, Limited

https://www.jri.co.jp/en/reports/reports/

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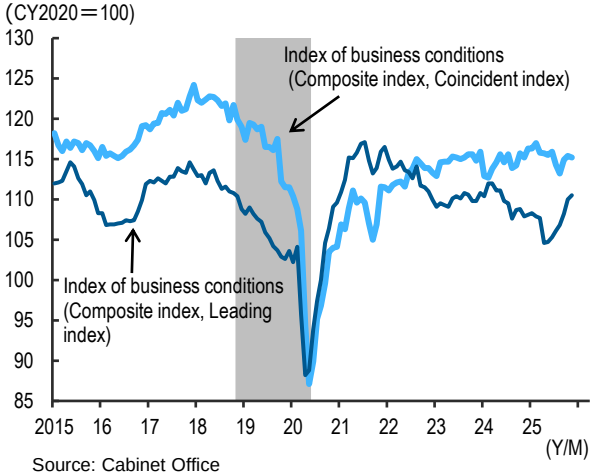
The General Situation – The economy is gradually recovering, though activity has stalled in some areas

Figure 1-1 Economic Activity

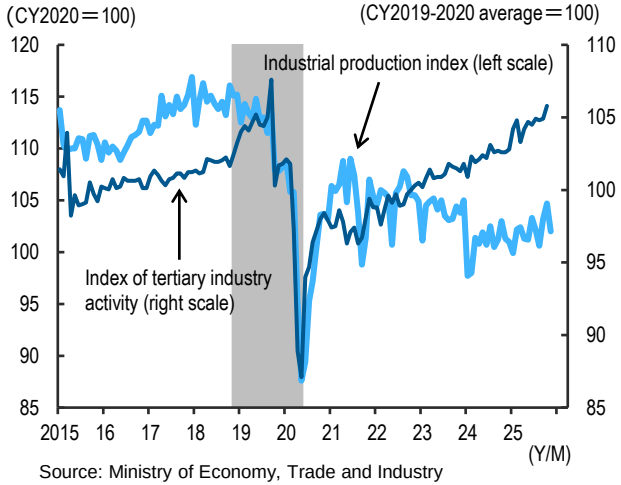
The coincident index of business conditions is falling slightly.
The leading index is picking up.



Source: Cabinet Office

Figure 1-2 The Corporate Sector

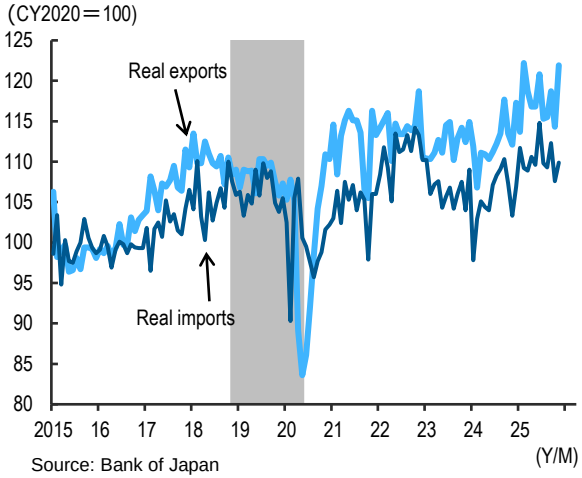
Industrial production is fluctuating.
Economic activity in the service sector is recovering.



Source: Ministry of Economy, Trade and Industry

Figure 1-3 External Demand

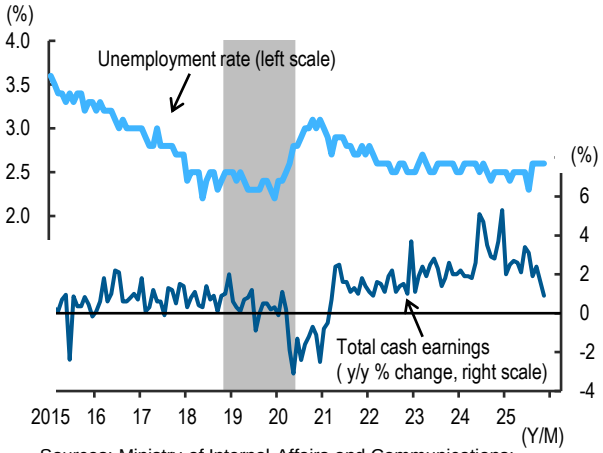
Exports are showing signs of bottoming out.
Imports are on a downward trend.



Source: Bank of Japan

Figure 1-4 Employment and Income

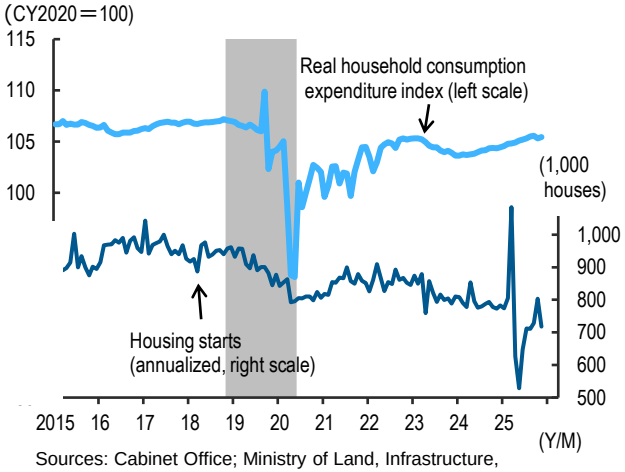
The unemployment rate is low, hovering around 2.5%.
Nominal wage growth is solid on average.



Sources: Ministry of Internal Affairs and Communications; Ministry of Health, Labor and Welfare

Figure 1-5 The Household Sector

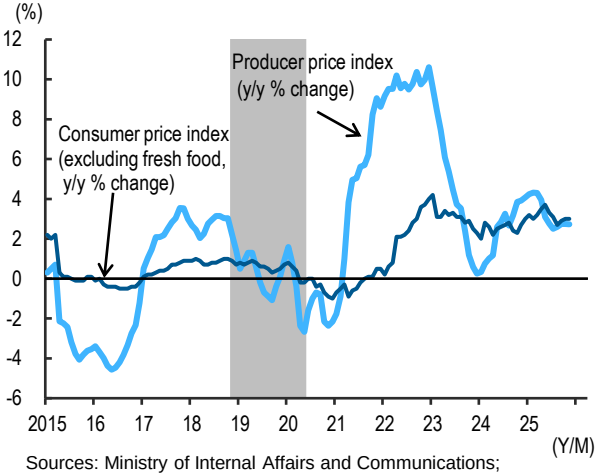
The recovery in consumption has stalled.
Housing starts are weak.



Sources: Cabinet Office; Ministry of Land, Infrastructure, Transport and Tourism

Figure 1-6 Prices

Producer price inflation is slowing, particularly in energy.
Consumer price inflation remains around 3%.



Sources: Ministry of Internal Affairs and Communications; Bank of Japan

∗ The shaded area represents the period during which the Japanese economy was in recession.

Business confidence among companies is favorable overall

◆ Business confidence is generally improving

In the December 2025 Tankan survey from the Bank of Japan (BOJ), the diffusion index (DI) for business conditions for large manufacturing enterprises increased by one percentage point from the previous survey. Business confidence in the petroleum/ coal products and food/beverage sectors improved against the backdrop of lower energy prices and falling costs as soaring crop prices moderated.

The DI for large non-manufacturing enterprises was unchanged from the previous survey. Although business conditions in the information services sector worsened slightly as the effect of the spike in replacement demand for PCs following the end of Windows 10 support tailed off, services for businesses supported the overall figure thanks to factors such as progress with price pass-through.

◆ Production in the manufacturing sector is fluctuating

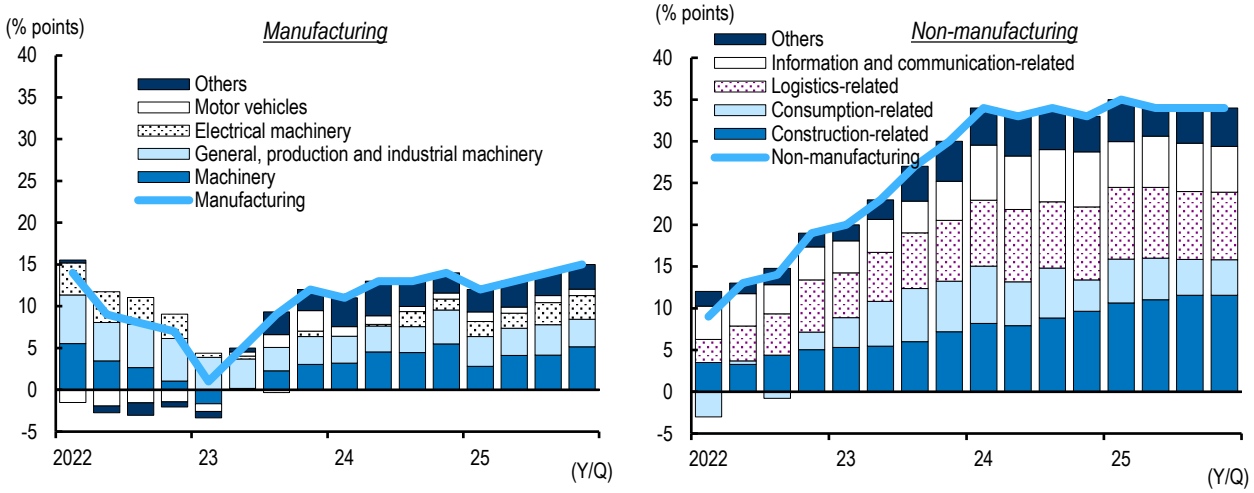
In November 2025, the Industrial Production Index dropped 2.6% month over month (MoM). While output of production machinery, particularly semiconductor equipment, increased, production in the electrical machinery and information/communications equipment sectors fell, as did output of automobiles and metal products.

According to the Industrial Production Index Forecast (adjusted based on past forecasting errors), near-future production plans indicate a decrease in output in December 2025 of 0.6% MoM. One of the main reasons will be a fallback in output of production machinery.

◆ Consumption is on the recovery track

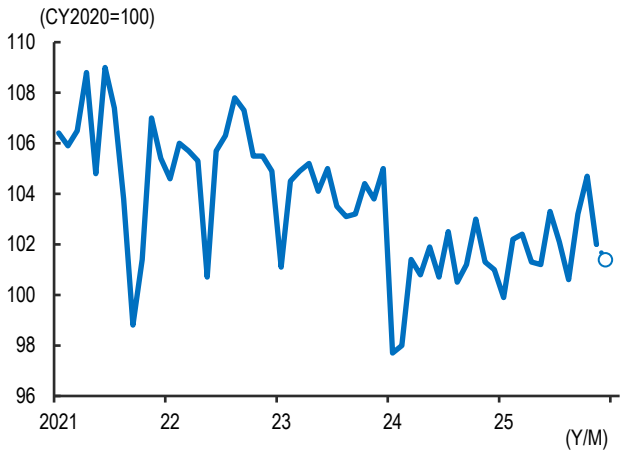
Personal consumption is gradually recovering. Consumption of goods, particularly non-durable items, remains weak due to persistent inflation, but consumption of durable goods such as home appliances is picking up. Services consumption is also firm, especially in amusement-related services.

Figure 2-1 DI for Business Conditions of Large Companies



Source: Japan Research Institute, Ltd. based on data from the Bank of Japan
Note: The December 2023 survey used a new baseline after the company sample was revised.

Figure 2-2 Industrial Production Index <seasonally adjusted>



Source: Ministry of Economy, Trade and Industry
Note: The latest data is based on the adjustment value (Dec 2025) calculated by the Ministry of Economy, Trade and Industry based on past adjustment patterns.

Goods exports, particularly to the U.S., are picking up

◆ Exports to the U.S. have bottomed out

Goods exports, particularly to the U.S., are picking up. The impact of the U.S. tariff hikes has faded, and exports, particularly automobiles, are increasing. Exports to countries other than the U.S., particularly those to Europe, are also robust.

Looking ahead, goods exports are expected to recover through the middle of the year due to the following two background factors: The first is a pick-up in the world economy. Looser fiscal and monetary policies, particularly in the U.S. and Germany, are expected to give the global economy a boost. The second is strong semiconductor demand. According to the forecast released by World Semiconductor Trade Statistics in December 2025, the semiconductor market in 2026 is likely to see an acceleration in growth on the back of AI-related demand and other factors.

◆ Capital investment plans remain at high levels

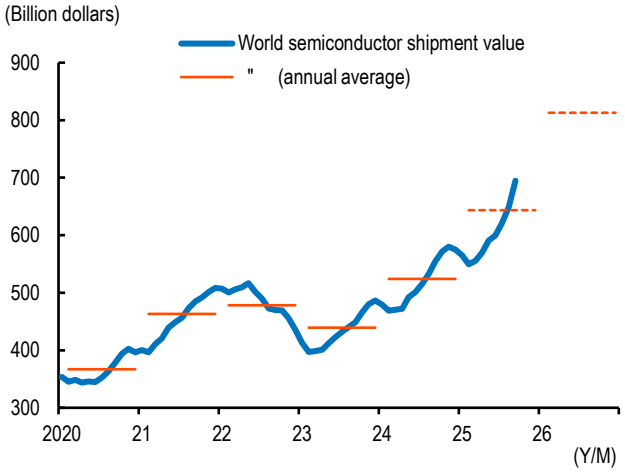
Appetite for capital investment among companies is strong. By type, software investment is still at high levels, and investment in machinery and construction is holding firm as companies replace or upgrade existing equipment. Investment is being supported by an improved earnings environment for companies, driven by lower costs. These are the result of cheaper energy and higher profits (in yen terms) from overseas operations due to the weaker yen.

Capital investment is also expected to hold firm going forward. According to the BOJ Tankan for December 2025, planned capital investments (including software but excluding land) for FY2025 are up 10% year over year (YoY), so the rate of growth is still high when compared with typical years. Companies remain eager to invest in software to address medium- to long-term challenges such as labor shortages and digital transformation. In addition, investment demand driven by such factors as the aging of equipment is expected to support overall investment.

Figure 3-1 Real Exports by Partner Country <seasonally adjusted>

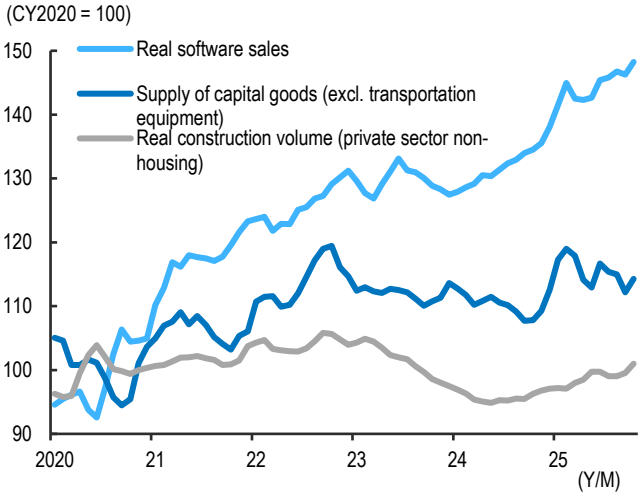
Source: Japan Research Institute, Ltd. based on data from the Bank of Japan
Note: Backward 3-month average.

Figure 3-2 World Semiconductor Shipment Value



Source: Japan Research Institute, Ltd. based on data from the World Semiconductor Trade Statistics (WSTS)
Note 1: World semiconductor shipment value is a 3-month moving average.
Note 2: Dashed line indicates WSTS's annual average forecast (as of Dec 2025).

Figure 3-3 Private Capital Investment Related Indicators <seasonally adjusted>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Economy, Trade and Industry
Note: Backward 3-month average.

Wage hikes are continuing as labor shortages intensify

◆ Labor-market tightness is approaching its limit

The unemployment rate is low, hovering in the mid-2% range. This is below the rate that occurs due to market friction (equilibrium unemployment rate), meaning that few people are out of work because of a lack of demand for labor.

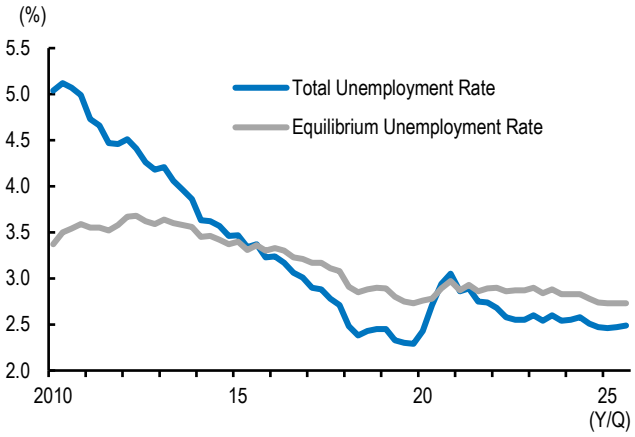
The labor market is expected to remain tight in the near term. On the demand side, willingness to hire in non-manufacturing sectors such as medical/nursing care and information/communications is firm. Meanwhile, on the supply side, the number of persons in the non-labor force population who wish to work has fallen by around 100,000 since COVID, even as labor force participation by women increases, so there is limited room for additional expansion in the supply of labor.

◆ Wage hikes are continuing

In November 2025, basic salaries of ordinary workers (adjusted to reflect data discrepancies arising from a change in the companies surveyed) rose 3.0% YoY, a high rate of increase. Although the official figure of around 2.5% is static, the actual wage situation appears healthy.

Wage growth rates are also expected to stay on the high side going forward. Due to persistent inflation, Rengo (Japan's largest union group) is sticking with the same wage increase target as the previous year for the 2026 shunto (spring wage negotiations). In line with this stance, industry-specific unions are also seeking wage hikes at or above the previous year's. Companies are highly likely to respond to these union demands with high wage increase rates. According to the Japan Chamber of Commerce and Industry's LOBO (Local Business Outlook) survey (December 2025 survey), willingness among small and medium-sized enterprises (SMEs) to raise wages is higher than the previous year, given increases in minimum wages and the need to secure and retain human resources.

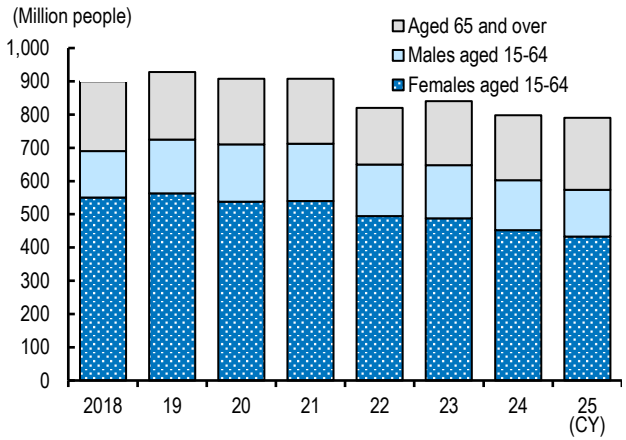
Figure 4-1 Total Unemployment Rate and Equilibrium Unemployment Rate



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications and the Japan Institute for Labor Policy and Training

Note: The equilibrium unemployment rate represents the proportion of unemployed persons that would exist simultaneously with job vacancies in firms. It arises due to market frictions, such as the time required for labor mobility. The Japan Institute for Labor Policy and Training calculated this rate based on the historical relationship between vacancy rates and the employment-unemployment rate.

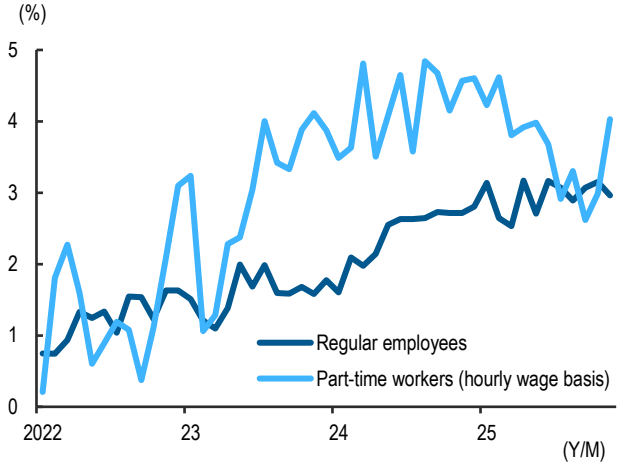
Figure 4-2 People not in the Labor Force Wishing to work



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Note: Number of "job seekers who are able to work" among the non-labor force population. 2025 figure is the average for the July-September quarter.

Figure 4-3 Basic Salary <YoY>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Health, Labour and Welfare

Note: Adjusted for data faults caused by the replacement of surveyed companies.

Inflation set to slow

◆ Energy prices are pushing down inflation

In November 2025, core inflation (all items, less fresh food) slowed slightly from the previous month, dropping to 2.9%. While electricity price growth expanded in the absence of the previous year's measures to control prices, inflation was held down by moderation in the rapid ascent of food prices as well as lower gasoline prices resulting from increased subsidies ahead of the abolition of the provisional tax rate.

Price growth is expected to slow until the middle of 2026 and then remain at around 2%. Energy prices will fall due to lower market prices and the implementation of measures to control prices, such as the abolition of the provisional tax rate for gasoline, and food price inflation is expected to continue to moderate. According to a survey by Teikoku Databank, the number of items for which food manufacturers are planning to raise prices in 2026 is much lower than forecast in the previous year, so upward pressure on prices is highly likely to weaken going forward.

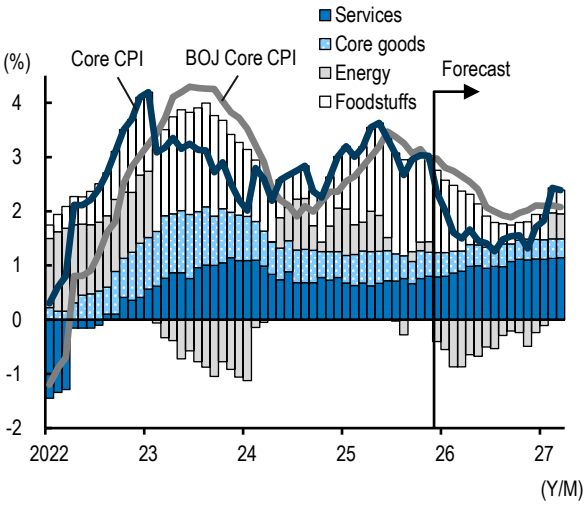
◆ The BOJ will continue to raise interest rates in phases

At its monetary policy meeting in December 2025, the Bank of Japan (BOJ) increased its policy rate to 0.75%.

Long-term interest rates rose through early January 2026. Rates were driven higher due to lingering concerns about fiscal expansion and growing expectations of further interest rate hikes by the BOJ.

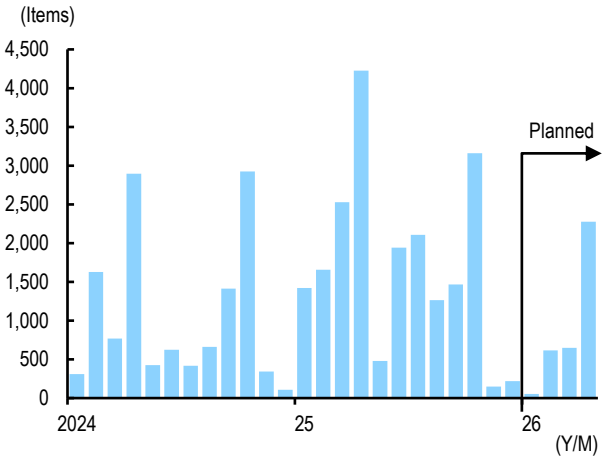
It is highly likely that the BOJ will continue to raise interest rates in stages while closely monitoring the impact on the real economy and financial/capital markets. The next rate hike is expected to be in July 2026. Long-term interest rates look likely to rise gradually, reflecting heightened anticipation of rate hikes by the BOJ and increased fiscal spending by the government. Should jitters about the possibility of a deterioration in fiscal discipline or political turmoil intensify, there is also a risk that long-term interest rates will soar.

Figure 5-1 Consumer Price Index <YoY>



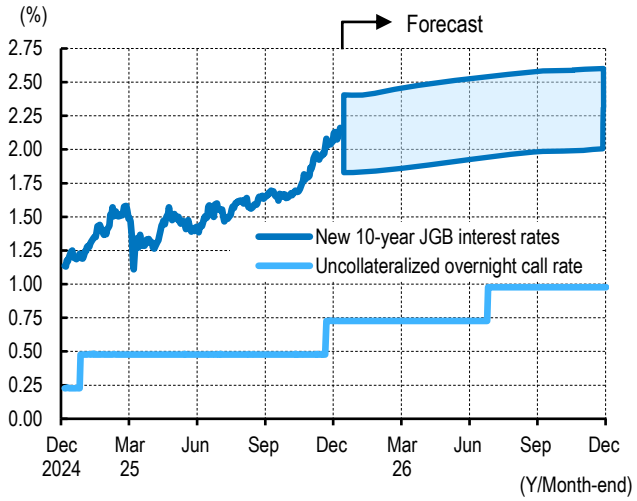
Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Figure 5-2 Number of Items Subject to Price Increases by Food Manufacturers



Source: Japan Research Institute, Ltd. based on data from the Teikoku Databank
Note: Price revision plans of 195 major food manufacturers as of December 31.

Figure 5-3 Outlook for Japan's Main Interest Rates



Source: NEEDS-FinancialQUEST

Topic ①: Demand from foreign tourists is approaching the supply ceiling

◆ Hotel room supply will be constrained by strong demand for travel to Japan

The government is currently formulating its fifth Tourism Nation Promotion Basic Plan, with 2030 targets of 60 million visitors to Japan and 15 trillion yen in consumption by visitors. Inbound demand remains solid, with the number of visitors in 2025 expected to have surpassed 40 million, a new record high.

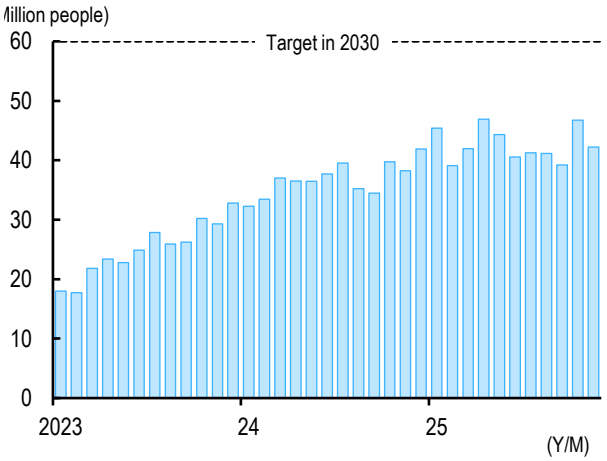
Against this backdrop, the supply of rooms in cities such as Osaka and Tokyo is approaching a ceiling. Large cities are served by numerous international flights, and nearly half of hotel guests in Tokyo and Osaka are foreigners visiting Japan. In Osaka during the Expo run, there were more months when the room occupancy rate reached close to 85%, a figure regarded as the upper limit for stable occupancy.

◆ There are also fears of a halving of the increase in demand for travel to Japan

Supply constraints may tighten further going forward. In the mid-2010s, when the term "bakugai" (explosive buying) became a buzzword, room occupancy rates also rose, exceeding 90% in Tokyo and Osaka. Later, in the late 2010s, room supply expanded as hotel operators looked ahead to the Tokyo Olympics. In this current phase, however, there is little prospect of improvement on the supply side, as the increase in hotel room supply has topped out, and the construction and hotel sectors are suffering from serious worker shortages.

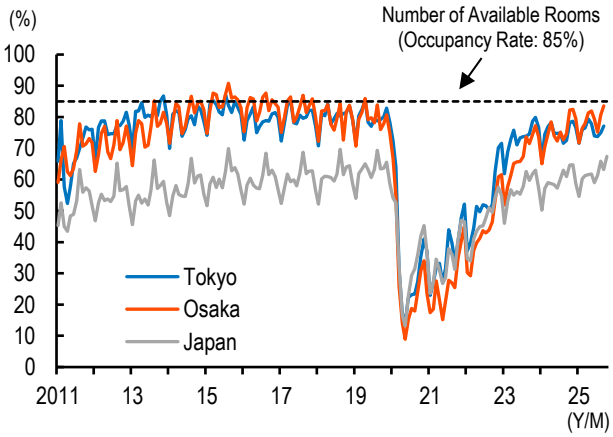
There are fears that these heightened supply constraints will curtail expansion of demand for travel to Japan. According to demand-side estimates, the number of foreign visitors to Japan will reach 55 million in 2030, while annual room occupancy rates in Tokyo and Osaka will hit 85%, the ceiling for hotel room supply, in 2027. If this scenario plays out, the increase in demand for travel Japan could halve. Efforts to achieve the 2030 target should focus on increasing per capita consumption through high-value-added offerings and promoting the geographical dispersion of demand from foreign tourists.

Figure 6-1 Number of Foreign Visitors to Japan <annualized>



Source: Japan Research Institute, Ltd. based on data from the Japan National Tourism Organization

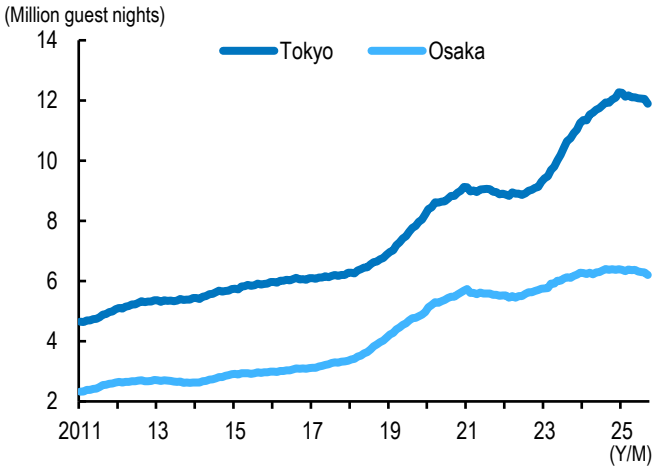
Figure 6-2 Trend in Room Occupancy Rate



Source: Japan Research Institute, Ltd. based on data from the Japan Tourism Agency

Note The 85% occupancy rate is set as a feasible rate, as it is difficult to fully utilize all rooms year-round due to operator management and room maintenance. Refer to Development Bank of Japan [2024], "2030 Hokuriku Luxury Hotel Supply and Demand Forecast," etc.

Figure 6-3 Trend in Room Supply Capacity



Source: Japan Research Institute, Ltd. based on data from the Japan Tourism Agency

Note: 12-month moving average. Room supply capacity = Number of guests ÷ Occupancy rate × 100.

Topic②: Rents are soaring in Tokyo

◆ Rent increase rates in the 23 special wards of Tokyo are strikingly high

Recent CPI data shows rent inflation turning positive. Rent inflation, which had been stuck in negative territory until the 2010s, still averaged just +0.3% (annualized) nationwide in the first half of 2025, with the positive figure reflecting higher costs for building construction and property management. But there is considerable variation according to city size, with average rent inflation rates being far higher in large cities, and particularly in the 23 special wards of Tokyo (the area of the former Tokyo City; below, "Tokyo 23 wards"), from 2024 onwards.

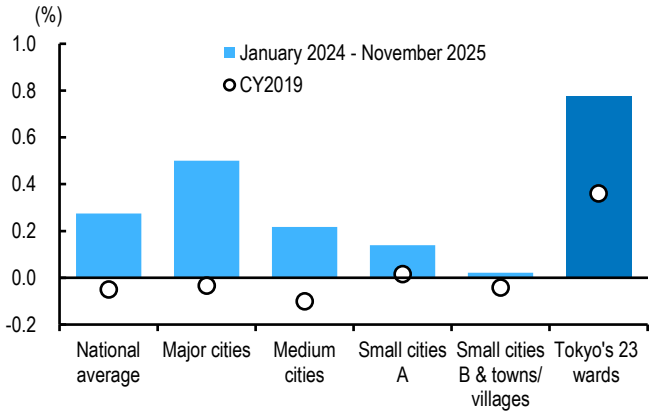
◆ Upward pressure is being applied by people choosing to rent and the concentration of population in Tokyo

Three factors can be pointed to as being behind the rising rents in the Tokyo 23 wards. The first is an increase in short-term property flipping. The proportion of newly-built condominiums for which ownership was registered in January-June 2024 that were sold on within one year was 9.3% in the Tokyo 23 wards, a high level compared to other parts of the Tokyo metropolitan area and the cities of Osaka and Nagoya, and it is possible that rising housing prices resulting from purchases for speculative purposes are driving up rents.

The second is that rents feel low relative to housing prices. Prices of housing, including used condominiums, in the Tokyo 23 wards have risen at a faster pace than rents due to the boost from the demand side and the aforementioned short-term flipping of properties. In response, more people are choosing to rent instead of buy, putting upward pressure on rents.

The third factor concerns demographics. In Tokyo, the excess of people in their 20s and 30s, who often sign rental contracts, moving in over those moving out is high. With so many people relocating to Tokyo, it is easy for landlords to increase rents when signing contracts with new tenants, and this may be contributing to rising rents.

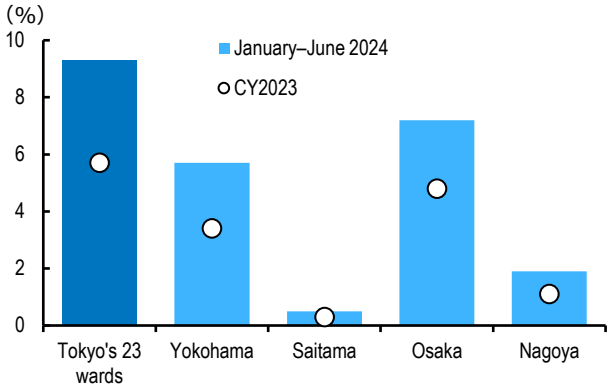
Figure 7-1 CPI Rent Growth Rate



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Note: Arithmetic average of year-on-year growth rates during the period. Major cities include government-designated cities and Tokyo's 23 wards. Medium cities are cities with populations between 150,000 and 1,000,000 excluding major cities. Small cities A are cities with populations between 50,000 and 150,000. Small cities B are cities with populations under 50,000 and towns/ villages.

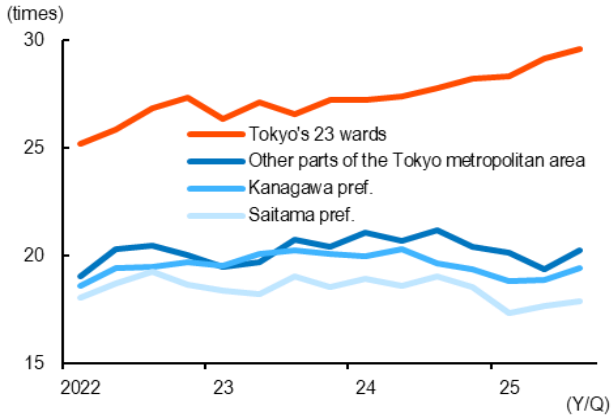
Figure 7-2 Short-Term Sales of Newly Built Condominiums



Source: Japan Research Institute, Ltd. based on data from the Ministry of Land, Infrastructure, Transport and Tourism

Note: Percentage of properties registered for preservation during the period that were subsequently transferred within one year.

Figure 7-3 Rent-to-Price Ratio for Condominiums (Per Square Meter)



Source: Japan Research Institute, Ltd. based on data from the East Japan Real Estate Distribution Organization

Note: This value is calculated by dividing the transaction price of used condominiums (3-month moving average) by the annual rent.

The economy to gradually recover, driven by domestic demand

◆ Domestic demand to support the economy

The Japanese economy is expected to continue its gradual recovery going forward. As households' real purchasing power improves, personal consumption will gradually rise, supporting the economy. The inflation rate is expected to decline through the middle of 2026, centered on energy and food prices, while wage increase rates are projected to remain at relatively high levels. Labor unions are poised to demand wage increases similar to the previous year's due to persistent inflation. With labor shortages intensifying, it is expected that management will agree to their wage demands.

Capital investment also looks set to keep rising. Companies' enthusiasm for investment to address medium- to long-term challenges such as labor saving and digital transformation will not be shaken.

External demand will continue to decelerate in the near term, but should soon bottom out. Exports of IT-related goods to meet firm AI-related demand will provide support, and the world economy is expected to recover as accommodative fiscal and monetary policies are deployed in various countries, which should give Japan's exports a lift.

◆ Downside risks exist domestically and internationally

Real GDP growth is projected to remain solid, registering 0.9% in FY2025 and 0.7% in FY2026.

However, there are significant downside risks both domestically and internationally. Domestic factors include 1) large-scale demand stimulus measures and 2) rising xenophobia, which could lead to supply constraints becoming apparent. This might trigger an acceleration in inflation due to tight supply-demand conditions, as well as stagnation in corporate activity as a result of labor shortages. As for international factors, there is a risk of the U.S. imposing additional tariffs if, for example, Japan's trade surplus with the U.S. continues or its investment in the U.S. falls short of the agreed target.

Figure 8　Projections for Japan's GDP Growth and Main Indicators (as of January 13, 2026)

(% changes from the previous fiscal year)

	CY2025		CY2026				CY2027		FY2024	FY2025	FY2026	FY2026
	7～9	10～12	1～3	4～6	7～9	10～12	1～3	4～6				
	(Actual)	(Projection)							(Actual)	(Projection)		
Real GDP	−2.3	0.8	1.1	1.0	1.0	1.0	0.9	0.8	0.5	0.9	0.7	0.8
Private Consumption Expenditure	0.8	0.7	1.1	1.1	0.8	0.7	0.6	0.6	0.2	1.2	0.9	0.5
Housing Investment	−29.0	9.2	1.1	0.6	0.0	−0.1	−0.3	−0.4	−0.7	−4.4	−0.7	−0.4
Business Fixed Investment	−0.8	1.0	1.3	1.4	1.6	1.8	1.8	1.6	0.9	1.6	1.3	1.6
Private Inventories (percentage points contribution)	(−0.4)	(0.0)	(0.0)	(−0.0)	(−0.0)	(−0.0)	(−0.0)	(−0.0)	(0.1)	(0.2)	(−0.0)	(−0.0)
Government Consumption Expenditure	0.6	0.9	0.9	1.0	1.1	1.1	1.1	1.0	2.3	0.4	1.0	1.0
Public Investment	−4.2	0.8	0.9	1.0	1.1	1.2	1.2	1.2	0.1	−0.7	0.8	1.2
Net Exports (percentage points contribution)	(−0.7)	(−0.5)	(−0.2)	(−0.2)	(−0.1)	(−0.0)	(−0.0)	(−0.1)	(−0.4)	(−0.2)	(−0.2)	(−0.1)
Exports of Goods and Services	−4.9	−1.7	1.0	1.2	1.6	2.0	1.9	1.9	1.7	2.2	0.6	1.9
Imports of Goods and Services	−1.8	0.6	1.8	1.9	2.0	2.1	2.1	2.2	3.3	2.8	1.5	2.1

(% changes from the same quarter of the previous year)

(% changes from the previous fiscal year)

Nominal GDP	4.1	3.7	2.7	2.6	3.2	2.9	3.6	3.2	3.7	3.9	3.1	3.3
GDP deflator	3.4	3.4	2.1	2.5	2.4	2.0	2.6	2.3	3.2	3.1	2.4	2.5
Consumer Price Index (excluding fresh food)	2.9	2.8	1.7	1.5	1.3	1.4	2.0	1.8	2.7	2.7	1.5	1.9
Unemployment Rate (%)	2.5	2.6	2.6	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Exchange Rates (JY/US$)	147	154	155	155	153	154	152	150	153	151	154	151
Import Price of Crude Oil (US$/barrel)	72	70	63	60	58	56	55	54	83	70	57	55

Sources: Cabinet Office; Ministry of Internal Affairs and Communications; Ministry of Economy, Trade and Industry; Ministry of Finance
The projection figures are based on those from the Japan Research Institute, Ltd.